Project Halley

Due diligence assistance

Deal Advisory

June 29, 2020

DRAFT

Important notice

This report is provided to Doxim Solutions Inc. (“Client” or “you”) on a confidential basis pursuant to our engagement letter dated May 1, 2020 and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client’s benefit and its own use. KPMG LLP (“KPMG”) does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG. KPMG neither warrants nor represents that the information contained in this report is accurate, complete, sufficient or appropriate for use by any person or entity other than Client or for any purpose other than set out in the Engagement Agreement.

In preparing our report, our primary source has been the Company’s internal Management information and representations made to us by Management of the Company. We do not accept responsibility for such information which remains the responsibility of Management. We have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The Quality of Earnings analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring’ or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings trends for future periods may be affected by such items, which may be different from the historical items.

KPMG LLP
Bay Adelaide Centre
333 Bay Street Suite 4600
Toronto ON M5H 2S5
Canada

Telephone +1 (416) 777-8500
Fax +1 (416) 777-8818
www.kpmg.ca

Private and confidential

Mr. Manik Verma
Doxim Solutions Inc.
1380 Rodick Road, Suite 102
Markham, ON L3R 4G5

June 29, 2020

Dear Manik,

We have completed our procedures to assist you in performing financial due diligence in connection with your prospective acquisition ("Transaction") of Striata CS, Striata Ltd. (UK) and Striata Inc. (US) (collectively, "Company", or "Target"), in accordance with the terms of our engagement letter dated May 1, 2020, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of the transaction. Our work in this report was based on information provided by an electronic data room and discussions with Target's Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein as Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained the Target from April 27, 2020 to June 29, 2020, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to June 29, 2020. We have not reviewed this Report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist you in your evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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KPMG LLP

Contents

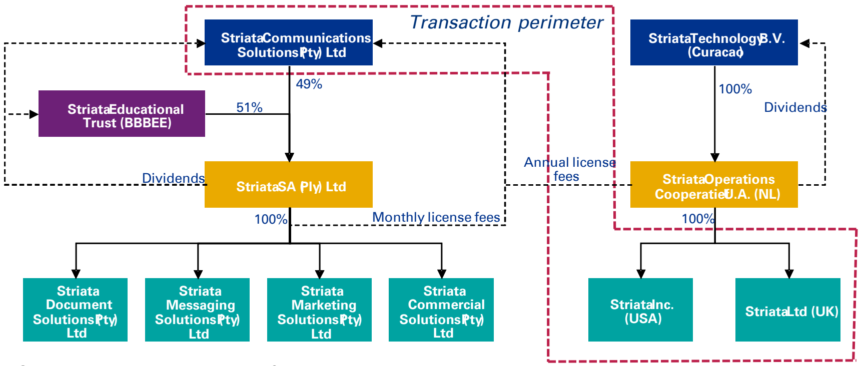
Executive summary

Basis of presentation

Transaction perimeter	■ Entities included within the transaction perimeter are: - Striata Ltd. ("UK"), including the wound down Australian ("AUS") operations; - Striata, Inc. ("US"); and - Striata Communication Solutions Ltd ("CS") ■ Entities excluded from the transaction are: - Striata Commercial Solutions ("Commercial"), Striata Document Solutions ("Document"), Striata Marketing Solutions ("Marketing"), Striata Messaging Solutions ("Messaging"), collectively the VARs; - Striata Operations Cooperatief U.A. ("Coop"), Striata Technology B.V. ("Tech") and Striata SA Ltd ("SA").
Financial information	■ The Company prepares unaudited consolidated financial statements of its operations at year end only. The consolidation process is performed manually in Excel and may be subject to human error as several figures within the consolidation are input and not linked throughout the document. ■ Each entity's financial statement is prepared, compiled and audited separately, as outlined below: - Audited: Striata Communication Solutions Ltd - Compiled: Striata Ltd. (UK) and Striata, Inc. (US) ■ Our discussions were primarily held with Jacqui Michelson (CFO) and Michael Wright (CEO). ■ The Company prepares its stand-alone audited financial statements in accordance with IFRS for Small and Medium-sized Entities. Striata Ltd. (UK)'s financial statements are compiled in accordance with the provisions applicable to companies entitled to the small companies exemption. Striata, Inc. (US)'s financial statements are compiled in accordance with US GAAP's Statements on Standards for Accounting and Review Services. ■ Our report makes reference to "KPMG analysis". This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data. ■ Certain rounding differences may exist in tables and text presentations within this report and the databook due to decimal places not being presented.
Fiscal year end	■ The Company's fiscal year end is September 30. ■ The periods in scope are FY18, FY19 and TTM Mar-20. A high-level roll forward was performed for TTM May-20.
Currency	■ Figures throughout this report are presented in USD dollars, unless otherwise noted.

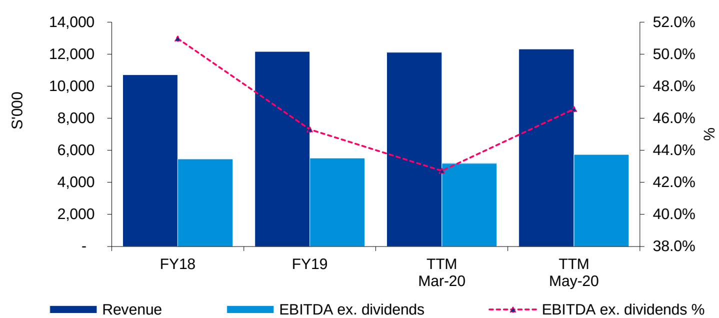
Business and transaction overview

Organizational structure



Source: Management provided information
**Note: Striata Educational Trust, Striata Technology B.V., Striata Operations Cooperatief U.A., Striata Commercial Solutions, Striata Document Solutions, Striata Marketing Solutions, Striata Messaging Solutions and Striata SA Ltd are excluded from the transaction perimeter*

Financial summary (reported)



Source: Management provided information

Business overview

- Striata group of Companies ("Group") was established in 1999 in South Africa. It conduct sales in 20 countries, with 133 employees across New York, Orlando, London, Johannesburg, Hong Kong and Sydney.
- The Group is comprised of the following entities:
  - **South African operating entities:** Striata Commercial Solutions ("Commercial"), Striata Document Solutions ("Document"), Striata Marketing Solutions ("Marketing"), Striata Messaging Solutions ("Messaging");
  - **Global operating entities:** Striata Ltd. ("UK"), Striata, Inc. ("US"); and
  - **Non-operating entities:** Striata SA Ltd ("SA"), Striata Communication Solutions Ltd ("CS"), Striata Operations Cooperatief U.A. ("Coop"), Striata Technology B.V. ("Tech").
- The Group provides end-to-end digital document delivery and storage technology solutions and secure and automated multichannel data and message deliveries (i.e., Customer Communications Management, ("CCM")).
- The Group's clients include major banks, telecom and media companies across the Americas (34%), Europe (22%) and Africa (40%).
- Revenue is primarily generated through:
  - **Recurring fees:** Managed services, hosting, support and certain professional services (e.g. change of templates); and
  - **Non-recurring fees:** Set-up and other professional services, secure e-billing delivery, and storage of past digital documents in SDR.

Sources of information

- The analysis contained in this report is prepared based on the following sources and information:
  - **Financial information:** Key information including monthly trial balances, billings database and other supporting financial records such as select general ledger details; and
  - **Management calls:** Conference call discussions held with Jacqui Michelson (CFO) and Michael Wright (CEO), collectively, "Management".

Summary financial statements

The Company has a fiscal year end of September 30.

The aside tables contain the Company's consolidated results on a reported basis. The Company prepares unaudited consolidated financial statements of its operations at year end only. The consolidation process is performed manually in Excel and may be subject to human error as several figures within the consolidation are input and not linked throughout the document.

The consolidated results are presented in USD.

The Company's consolidated results are presented including Tech and Coop, which are outside of transaction perimeter. Figures related to these entities are subsequently excluded from EBITDA through diligence adjustments.

Monthly IS | Consolidated (UK, US, AUS, CS, Tech, COOP)

$'000	Acc code	FY18	FY19	TTM Mar-20	TTM May-20
Revenue		10,705	12,172	12,115	12,326
Cost of sales		(556)	(648)	(727)	(746)
Gross profit		**10,149**	**11,524**	**11,389**	**11,580**
Gross margin%		*94.8%*	*94.7%*	*94.0%*	*93.9%*
Payroll		(4,908)	(5,363)	(5,355)	(4,959)
Professional fees		(161)	(122)	(153)	(177)
Rent expense		(116)	(111)	(109)	(104)
Other operating expenses		(549.36)	(898)	(894)	(847)
Operating expenses		(6,024)	(6,496)	(6,510)	(6,087)
Operating profit		**4,125**	**5,029**	**4,879**	**5,493**
Operating profit margin		*38.5%*	*41.3%*	*40.3%*	*44.6%*
Taxes		(289)	(285)	(304)	9,450
Dividends and admin fees		487	(3,020)	(8,289)	(8,328)
Depreciation and amortization		(31)	(28)	(84)	(120)
FX gains/losses		67	162	(8)	(18)
Interests		15	19	18	19
Other income and expenses		249	(3,152)	(8,668)	1,003
Net income		**4,374**	**1,877**	**(3,789)**	**6,496**
Interest		(15)	(19)	(18)	(19)
Taxes		289	285	304	(9,450)
Depreciation		31	28	84	120
Dividends paid		779	3,344	8,594	8,594
EBITDA, reported (ex. dividend)		**5,458**	**5,514**	**5,175**	**5,741**
EBITDA, reported (ex. dividend) %		*51.0%*	*45.3%*	*42.7%*	*46.6%*

Source: Management provided information, KPMG analysis
Note: The Company's consolidated results are presented including Tech and Coop, which are outside of transaction perimeter. Figures related to these entities are subsequently excluded from EBITDA through diligence adjustments.

Balance sheet - combined (UK, US, AUS and CS)

	As at			
$'000	30-Sep-18	30-Sep-19	31-Mar-20	31-May-20
Assets				
Cash and cash equivalents	2,466	2,201	1,469	2,459
Trade debtors	3,310	4,474	3,010	2,411
Other receivables	30	27	61	50
Current assets	5,807	6,702	4,540	4,919
Non-current assets	3,273	2,986	2,477	2,527
Total assets	**9,080**	**9,687**	**7,017**	**7,447**
Liabilities and shareholders' equity				
Trade creditors	(93)	(69)	(65)	(16)
Other payables	(209)	(263)	(316)	(239)
Taxation payable	(74)	(88)	(65)	(70)
Current liability	(375)	(419)	(446)	(325)
Non-current liabilities	(3,387)	(3,733)	(2,783)	(2,924)
Total liabilities	**(3,762)**	**(4,153)**	**(3,230)**	**(3,249)**
Shareholders' equity	(5,318)	(5,535)	(3,788)	(4,198)
Total liabilities and shareholders' equity	**(9,080)**	**(9,687)**	**(7,017)**	**(7,447)**

Source: Management provided information, KPMG analysis
Note1: The balance sheet is presented on a combined basis and excludes entities not included within the transaction perimeter.

The periods within scope are FY18, FY19 and TTM Mar-20. Diligence procedures for these periods were performed on each company within the consolidated group. A high-level (trial balance analysis only) was performed for TTM May-20.

Subsequently, the transaction perimeter was renegotiated and Client is now considering acquiring the assets of CS, UK and US. License fees would then be charged to the South African entities.

This report contains analysis on certain entities not contained within the current transaction perimeter to highlight the underlying performance of the South African entities (the base of the license fee to be charged post transaction).

Management's consolidation process is manual. Income statements and balance sheets provided by Management are not consistent on a combined basis. Adjustments are made throughout this report to either reflect the operations under the new transaction perimeter or to reconcile the new transaction perimeter to the Group's consolidated results.

Key findings (1)

Issue	Summary observations	Key analysis
Quality of earnings		*Pages 16 to 26*

Quality of earnings

TTM May-20 reported EBITDA of $5.7 million increases to $6.2 million after potential and pro forma adjustments.

Potential synergies increased TTM May-20 EBITDA to $6.8 million.

***Note1:** TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.*

***Note2:** Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.*

Summary observations

- The table below summarizes reported, potentially adjusted, pro forma adjusted, and pro forma synergy adjusted EBITDA for FY18, FY19 and TTM Mar-20:

Quality of Earnings

$'000	FY18	FY19	TTM Mar-20	TTM May-20
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
13 Salaries and wages	627	627	627	627
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Internal trial balances; KPMG analysis

Pro forma revenue breakdown

$'000	FY18	FY19	TTM Mar-20
Recurring revenue, pro forma, adj.	10,530	10,530	10,530
Non, recurring revenue, pro forma adj.	1,437	1,364	1,078
Gorup licensing revenue, pro forma adj.	1,032	1,278	1,210
Revenue, pro forma adj.	**12,999**	**13,173**	**12,816**

Pro forma adj. revenue decreased from $13.1 million in FY19 to $12.8 million in TTM Mar-20 primarily due to the decrease in non-recurring revenue from $1.4 million to $1.1 million.

Refer to the following page for the discussion on the VARs' profitability and the sustainability of group licensing fee revenue.

- Significant potential EBITDA adjustments in TTM May-20 include the following:
  - **Revenue adjustments (decrease of $0.3 million):** Represents accounting related adjustments to accurately allocate the revenue recognized in the appropriate period using accrual accounting.
  - **Tech and Coop's third part expenses (increase of $0.3 million):** Eliminates the reported third party expenses in Tech and Coop, which are not included in the transaction perimeter.
  - **Payroll (decrease of $0.3 million):** Comprised of the payroll of the CEO and Managing Director of South Africa region that are recorded in the entities outside of the transaction perimeter.
- Significant pro forma EBITDA adjustments in TTM Mar-20 include the following:
  - **Annualized recurring revenue (increase of $0.4 million):** Annualizes the Jan-20 to Mar-20 recurring revenue, adjusted for potential adjustments above, over the historical period.
- Significant potential synergy adjustments to TTM May-20 include the following:
  - **Compensation synergies (increase to EBITDA of $0.7 million):** Reflects potential compensation (salary plus benefits and bonus) related synergies identified by Client.
- The following customer contracts have near to mid-term expiry dates: Santander - Oct-20, Southern Gas Company - Dec-20, Communisis - Dec-20, Paragon - Jan-21, and ABSA - Mar-22. Management represents that negotiations are ongoing with certain customers. We recommend you obtain the recent status of negotiations and reflect any significant changes to terms in your valuation model. The continuity of these customers will impact the Company's ability to generate EBITDA consistent with historical periods.

KPMG

Key findings (2)

Issue	Summary observations	Key analysis
Quality of earnings (continued) Post transaction, license fees will be received from the South African entities based on their SaaS revenues. Based on an indicative adjusted analysis, the South African entities generated negative EBITDA from FY18 to TTM Mar-20 *As a result, the South African entities' ability to pay license fees post close is reduced by the lack of operating profitability.* *Unless operating costs are reduced or revenues return to $4.7 million to $5.0 million, the South African entities may not return to EBITDA profitability.*	▪ The table below summarizes reported and potentially adjusted summary income statements for the South African group of entities. Revenue adjustments primarily relate to lost customers.	*Not applicable.*

VARs and SA EBITDA

	VARs + SA EBITDA, reported			Adjustment			VARs + SA EBITDA, adjusted		
$'000	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**
Revenue	5,299	5,006	4,445	(875)	(590)	(250)	4,423	4,416	4,195
COGS	(2,720)	(2,595)	(2,187)	-	-	-	(2,720)	(2,595)	(2,187)
Gross profit	2,579	2,411	2,258	(875)	(590)	(250)	1,703	1,820	2,008
Personnel	(1,519)	(1,396)	(1,434)	(133)	(103)	(54)	(1,651)	(1,499)	(1,488)
Other Opex	(1,025)	(1,083)	(1,083)	2	7	7	(1,024)	(1,075)	(1,075)
Other expenses	(204)	(145)	(137)	-	-	-	(204)	(145)	(137)
Net income	**(170)**	**(213)**	**(395)**	**(1,006)**	**(686)**	**(297)**	**(1,176)**	**(900)**	**(692)**
Addback									
Interest	(18)	(8)	(6)	-	-	-	(18)	(8)	(6)
Taxes	39	6	6	-	-	-	39	6	6
Depreciation	249	220	211	-	-	-	249	220	211
Dividend	83	31	24	-	-	-	83	31	24
EBITDA	**183**	**36**	**(161)**	**(1,006)**	**(686)**	**(297)**	**(823)**	**(650)**	**(457)**

Revenue, TB	5,299	5,006	4,445
Intercompany	(563)	(568)	(562)
Revenue per sales database	**4,736**	**4,438**	**3,883**

Source: Management provided information

On an indicative basis, the adjusted EBITDA for the South African Group of entities is negative in FY18, FY19 and TTM Mar-20 and is ($457,000) in TTM Mar-20.

▪ The license fee cost included in the table above, paid to CS, is approximately 80% of related SaaS revenues (Note that the calculation excludes certain SaaS revenue streams i.e. message delivery and SDR). Also see Appendix 9 for details.

Executive summary

Key findings (3)

Issue	Summary observations	Key analysis
Net working capital *TTM May-20 average net working capital decreased by $0.4 million from $3.2 million to $2.9 million after diligence adjustments.*	■ The table below presents the Company's pro forma adjusted net working capital and pro forma adjusted net working capital:	*Pages 28 to 30*

Net working capital (US, UK, AUS and CS)

$'000	As at 30-Sep-18	As at 30-Sep-19	As at 31-Mar-20	As at 31-May-20	Average FY18	Average FY19	Average TTM Mar-20	Average TTM May-20
Reported NWC	**3,039**	**4,169**	**2,690**	**2,206**	**2,532**	**3,929**	**3,487**	**3,225**
Diligence adjustments	(93)	(496)	(459)	(406)	(209)	(361)	(357)	(370)
NWC diligence adjusted	**2,946**	**3,673**	**2,231**	**1,799**	**2,323**	**3,568**	**3,130**	**2,855**
NWC diligence adj, combined % TTM revenue	*28.1%*	*30.9%*	*18.7%*	*14.9%*	*22.1%*	*30.1%*	*26.3%*	*23.7%*

Note1: The reported net working capital schedule is presented on a combined basis. entries not available on a monthly basis. The intercompany AR/AP balances are subsequently eliminated as part of the diligence adjustment.

Note2: The reported combined net working capital schedule excludes the balances related to the VARs, SA, Tech and Coop, as they are not included within the transaction perimeter.

■ Significant potential adjustments to TTM May-20 combined net working capital primarily consist of the following:

– **Bonus accrual (decrease of $0.3 million):** The bonus accrual reflects consistent monthly accruals throughout the fiscal year with payments in December and June of the following fiscal year.

– **Leave pay provision (decrease of $0.1 million):** This item is recorded as part of non-current liabilities, and therefore, an adjustment is made to reflect the leave pay provision in net working capital due to its operating nature.

– **NWC impact of revenue adjustment (increase of $46,000):** Corresponding to QofE adjustment 1, the estimated AR impact is considered by applying an estimated DSO run-rate of 60 days. Note that TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. sales database) is outstanding for these periods.

Key findings (4)

Issue	Summary observations	Key analysis
Net cash *Adjusted net cash as at May 31, 2020 is $2.7 million.*	■ The following table summarizes reported and adjusted net cash as at September 30, 2018, 2019, March 31, 2020 and May 31, 2020: (see table below) *Source: Internal trial balances; KPMG analysis* ■ Significant potential adjustment to net debt identified as a result of due diligence includes: – **Deferred revenue intercompany:** Deferred revenue balances, recorded in CS (i.e. a non-operating entity), relate to revenues from the South African VARs. The identified amount of deferred revenue does not reflect a liability owing to a third party and is a balance that should have been recognized as income in prior periods.	Not applicable
Scope limitations and outstanding information	■ The following are Management assumptions and processes that limited our scope in certain areas: – **Revenue classification:** The process of determining recurring vs. non-recurring revenue is manual and based on invoice level data available within each entity. – **Consolidation process**: The consolidation is performed in Excel (annually for balance sheet and monthly for income statement) and the elimination entries are manually hardcoded with a limited audit trail. – **Deferred revenue**: The amortization calculation in schedules provided by Management is hardcoded and does not contain details on the term of the corresponding invoice. – **Sales database (Apr-20 and May-20):** As at the date of this report, we have not received the sales database for Apr-20 and May-20. Therefore, detailed revenue related analysis and adjustments contain observations to TTM Mar-20.	Not applicable

Net cash / (debt)

	$'000	30-Sep-18	30-Sep-19	31-Mar-20	31-May-20	On BS ?
1	Cash and cash equivalents	2,466	2,201	1,469	2,459	Y
2	Net loan and shareholders receivables (payables) to Striata entities outside of transaction perimeter	1,032	351	715	428	Y
3	Sundry Customers - Income in Advance	(983)	(747)	(599)	(614)	Y
4	Taxes payable	(74)	(88)	(65)	(70)	Y
	Net cash / (debt), reported	**2,442**	**1,717**	**1,520**	**2,204**	
	Potential adjustments					
	Deferred revenue - intercompany	681	604	486	470	Y
	Potential adjustments	681	604	486	470	Y
	Net cash / (debt), adjusted	**3,124**	**2,321**	**2,006**	**2,674**	

Source: Internal trial balances; KPMG analysis

Executive Summary

Key findings (5)

Issue	Summary observations	Key analysis
Revenue	The table below summarizes reported revenue by type for FY18, FY19 and TTM Mar-20:	*Pages 32 to 36*

Revenue by type

$'000	[A] Recurring FY18	[A] Recurring FY19	[A] Recurring TTM Mar-20	[B] Non-recurring FY18	[B] Non-recurring FY19	[B] Non-recurring TTM Mar-20	[A]+[B] Total FY18	[A]+[B] Total FY19	[A]+[B] Total TTM Mar-20	As a % of total FY18	As a % of total FY19	As a % of total TTM Mar-20	Change YoY FY19/ FY18	Change YoY TTM Mar-20/FY19
SaaS	5,648	6,611	6,914	-	-	-	5,648	6,611	6,914	*52.8%*	*54.3%*	*57.1%*	963	303
Professional services	1,087	1,767	1,657	1,432	1,328	1,032	2,519	3,095	2,688	*23.5%*	*25.4%*	*22.2%*	576	(407)
Hosting	657	801	1,026	-	-	-	657	801	1,026	*6.1%*	*6.6%*	*8.5%*	144	225
Other	(3)	14	108	5	37	46	3	51	154	*0.0%*	*0.4%*	*1.3%*	49	103
US, UK and AUS	7,389	9,194	9,705	1,437	1,364	1,078	8,826	10,558	10,782	*82.4%*	*86.7%*	*89.0%*	1,732	224
1 Group licensing reveue	1,879	1,614	1,333	-	-	-	1,879	1,614	1,333	*17.6%*	*13.3%*	*11.0%*	(265)	(281)
Total revenue	**9,268**	**10,808**	**11,038**	**1,437**	**1,364**	**1,078**	**10,705**	**12,172**	**12,115**	***100.0%***	***100.0%***	***100.0%***	**1,467**	**(57)**

Source: Internal trial balances; KPMG analysis

Recurring revenue increased from $7.4 million in FY18 to $9.7 million in TTM Mar-20 driven by an increase in SaaS fees ($1.3 million), hosting services ($0.4 million) and professional services ($0.2 million).

Non-recurring professional services revenue decreased from $1.4 million to $1.1 million over the same period.

The classification of recurring vs. non-recurring professional services revenue is a manual process based on invoice level data and is subject to human error.

Refer to the profitability section of this report for further detail on revenue streams and customer specific trends.

- **Recurring revenue:** Increased by $2.3 million from FY18 to TTM Mar-20. The increase was primarily driven by SaaS revenue which increased by $1.3 million and professional services by $0.6 million over the same period.
  - <u>SaaS fees:</u> Increase primarily related to sales in the UK region due to the two new accounts won in FY18 (Santander and CHEP), which combined generated $1.7 million recurring revenue in TTM Mar-20. Refer to page 33 for further detail on the recurring revenue analysis.
  - <u>Recurring professional services:</u> Increased from $1.1 million in FY18 to $1.7 million in TTM Mar-20 primarily related to the increase of $0.4 million form Santander which was a new in May-18.
- **Change YoY**: Revenue increased from FY19 to TTM Mar-20 by 0.2 million. The decrease was substantially due to and increase in source currency recurring revenue in the UK and US agencies (increase of $0.5 million offset by a decrease in source currency non-recurring revenue of $0.3 million in the US agency).

1

Due to the transaction structure that excludes the South African entities, Client will receive license revenue based on the South African entities' SaaS performance.
Actual license fees are reflected in the above table. Further discussion is contained on page 26 along with commentary on the financial performance of the South African entities.
***Note**: The group licensing revenue in this page is on a reported basis (vs. adjusted in page 9)*

Executive Summary

Key findings (6)

Issue	Summary observations	Key analysis

Revenue

Customer concentration increased from 33.5% in FY18 to 52.6% in TTM Mar-20.

Note: *The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, Client with receive license revenues related to the South African region's SaaS revenues.*

The analysis in this report is based on the sales database and focuses on the Company's overall performance (including the South African VARs, US, UK and Australia).

See Appendix 6 for the reconciliation between sales database and revenue per TB.

- The table below summarizes reported revenue by top customers for FY18, FY19 and TTM Mar-20:

Recurring vs. Non-recurring revenue

	[A]			[B]			[A] + [B]			As a % of total		
	Recurring revenue			Non-recurring revenue			Total revenue					
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Amalgamated Banks of South Africa	1,133	1,608	1,869	106	141	243	1,240	1,749	2,112	*9.1%*	*11.7%*	*14.4%*
National Grid	973	1,099	1,239	85	132	48	1,058	1,231	1,288	*7.8%*	*8.2%*	*8.8%*
Santander UK	190	1,092	1,203	96	24	33	286	1,117	1,235	*2.1%*	*7.4%*	*8.4%*
Paragon Customer Communications	609	616	647	30	12	5	639	628	652	*4.7%*	*4.2%*	*4.4%*
CHEP	363	517	536	62	186	41	425	703	576	*3.1%*	*4.7%*	*3.9%*
Southern Company Gas	356	479	479	-	-	33	356	479	512	*2.6%*	*3.2%*	*3.5%*
Communisis	-	374	371	-	27	48	-	401	419	*-*	*2.7%*	*2.9%*
Suez	238	253	229	90	95	96	328	348	325	*2.4%*	*2.3%*	*2.2%*
American Water	210	225	283	-	73	42	210	299	324	*1.5%*	*2.0%*	*2.2%*
Amdocs	-	91	191	-	80	80	-	171	271	*-*	*1.1%*	*1.8%*
Top 10	4,072	6,355	7,046	469	771	668	4,541	7,126	7,715	*33.5%*	*47.5%*	*52.6%*
Others (69 clients)	3,317	2,838	2,658	968	594	409	4,285	3,432	3,068	*31.6%*	*22.9%*	*20.9%*
US, UK and AUS (79 clients)	**7,389**	**9,194**	**9,705**	**1,437**	**1,364**	**1,078**	**8,826**	**10,558**	**10,782**	***65.1%***	***70.4%***	***73.5%***
1 South Africa (69 clients)	3,673	3,763	3,241	1,063	675	642	4,736	4,438	3,883	*34.9%*	*29.6%*	*26.5%*
Total	**11,063**	**12,957**	**12,945**	**2,500**	**2,039**	**1,720**	**13,563**	**14,996**	**14,665**	***100.0%***	***100.0%***	***100.0%***
Reconciliation to PL												
Total UK, US, AUS	7,389	9,194	9,705	1,437	1,364	1,078	8,826	10,558	10,782			
Group licensing fees	1,879	1,614	1,333	-	-	-	1,879	1,614	1,333			
Recurring revenue, reported	**9,268**	**10,808**	**11,038**	**1,437**	**1,364**	**1,078**	**10,705**	**12,172**	**12,115**			

Source: Internal trial balances; KPMG analysis

- **Customer concentration:** Top ten customers comprised 52.6% (or $7.7 million) of total revenue in TTM Mar-20 with the largest customer, Amalgamated Banks of South Africa, accounting for $2.1 million (14.4%) of the Company's total revenue. The concentration of the top ten customers increased from FY18 when they comprised 33.5% (or $4.5 million) of total revenue.
- Please refer to the profitability section of this report for further detail on revenue types, prevalent revenue trends, customer analysis and volume and retention analysis. Refer to appendix 8 for detail on the FX impact to revenue over the historical period.

1 **South African VARs:** As shown in the above table, the revenues of the VARs declined year over year. Therefore, their ability to pay historical license fees to Client post transaction is based on the entities achieving SaaS revenues at a level that is higher than TTM Mar-20. In addition, their ability to pay license fees is also correlated to their overall profitability which is discussed further in "other considerations" on page 26

Pages 32 to 36

Quality of earnings

Quality of earnings (1 of 12)

Reported TTM May-20 EBITDA (excluding dividends) of $5.7 million increases to $6.2 million after potential and pro forma adjustments. Potential synergies increase EBITDA to $6.8 million.

Reported TTM May-20 revenues of $12.3 million increases to $12.7 million after potential and pro forma adjustments.

Significant adjustments are discussed further on the following pages.

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.

Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Quality of Earnings

$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	10,705	12,172	12,115	12,326
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	10,483	11,872	11,915	12,058
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	12,999	13,173	12,816	12,675
EBITDA, reported	4,679	2,171	(3,419)	(2,853)
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	5,458	5,514	5,175	5,741
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	3,924	5,030	5,259	5,575
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	6,550	6,344	6,167	6,195
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	7,177	6,971	6,794	6,822
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Basis of preparation

The above Quality of Earnings schedule illustrates potential EBITDA adjustments which were identified for the fiscal years ended September 30, 2018, 2019 and the trailing twelve months ended March 31, 2020 and May 31, 2020.

The proposed normalizations are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed normalizations.

***Note**: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.*

Overview

The adjacent table presents a summary of the Company's reported and adjusted EBITDA. The analysis in this report is prepared based on the following sources of information:

- Monthly trial balances of for each entity for FY18, FY19 and YTD May-20;
- Consolidation schedules for the Company for FY18, FY19 and YTD May-20;
- Discussions with Management.

The nature of adjustments included in the quality of earnings analysis are as follows:

- **Potential adjustments**: Includes potential non-recurring, non-operating and other normalization items (e.g., out of period billing and expenses, etc.) identified during diligence.
- **Pro forma adjustments**: Includes run rate adjustments to revenue based on Management provided information regarding revenue billings and other adjustments (e.g. run-rate profitability payroll adjustments).
- **Synergy adjustments:** Includes potential synergies identified by Client.

Quality of earnings (2 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
3 Payroll	(359)	(335)	(331)	(329)
4 Bad debts	-	75	75	75
5 Foreign exchange	(67)	(162)	8	18
6 Bonus expense	-	(0)	219	5
7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments

1. **Revenue adjustment:** Represents accounting adjustments to revenue (e.g., revenue recognition and credit note allocation, etc.) to record revenue in the appropriate historical periods using accrual accounting. Refer to the table below for further details.

Revenue adjustment (potential)			
$'000	FY18	FY19	TTM Mar-20
Barclays (incl. BAR005-BAR021)	-	(23)	(70)
CHEP	0	1	(45)
Other	1	(3)	1
Hosting	2	(25)	(113)
CHEP	(4)	1	(29)
Santander	165	(141)	(33)
Professional services and other	161	(140)	(63)
Communisis	-	(78)	(90)
Barclays (incl. BAR005-BAR021)	-	(57)	66
Other	(89)	-	(0)
SaaS	(89)	(135)	(24)
CS deferred revenue	(296)	-	-
Total	**(222)**	**(300)**	**(200)**

See Note1 for scope limitation regarding this adjustment

Source: Management provided information
Note: Management has historically accounted for BAR005-BAR021 divisions under the Barclays client account. Starting in FY20, these accounts were rebranded under ABSA. For the purposes of accurately adjusting the historical results (e.g. adjusting for client discounts provided to Barclays), we have considered Barclays account on a combined basis (i.e. including BAR005-BAR021 divisions) in-line with Management's view.

a. **Hosting:**
   - Barclays (incl. BAR005 – BAR021): Revenue is recognized at the time of billing in Sep-19, Oct-19 and Mar-20. This adjustment allocates the amounts recorded to the appropriate period in which the service was provided (i.e., preceding six months for Sep-19 and Oct-19 and three months for Mar-20).
   - CHEP: Management represents CHEP's hosting revenue is recorded annually at the time of the billing (i.e., $27,000 in Nov-19 and $71,000 in Jun-19). This adjustment allocates the annual billings on evenly monthly basis over the FY19 and TTM Mar-20 period.
   - Other: Represents other various insignificant normalizations for pre-billed amounts and discounts offered over the historical period.

b. **Professional services:**
   - CHEP: Management represents CHEP's professional services revenue is recorded annually at the time of the billing (i.e. $41,000 in Jul-19). This adjustment allocates the annual billing on a evenly over the 12 month period to which it relates.

Quality of earnings (3 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
3 Payroll	(359)	(335)	(331)	(329)
4 Bad debts	-	75	75	75
5 Foreign exchange	(67)	(162)	8	18
6 Bonus expense	-	(0)	219	5
7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments (continued):

1. Revenue adjustment (continued):

Revenue adjustment (potential)			
$'000	FY18	FY19	TTM Mar-20
Barclays (incl. BAR005-BAR021)	-	(23)	(70)
CHEP	0	1	(45)
Other	1	(3)	1
Hosting	2	(25)	(113)
CHEP	(4)	1	(29)
Santander	165	(141)	(33)
Professional services and other	161	(140)	(63)
Communisis	-	(78)	(90)
Barclays (incl. BAR005-BAR021)	-	(57)	66
Other	(89)	-	(0)
SaaS	(89)	(135)	(24)
CS deferred revenue	(296)	-	-
Total	**(222)**	**(300)**	**(200)**

See Note1 for scope limitation regarding this adjustment

Source: Management provided information
Note: Management has historically accounted for BAR005-BAR021 divisions under the Barclays client account. Starting in FY20, these accounts were rebranded under ABSA. For the purposes of accurately adjusting the historical results (e.g. adjusting for client discounts provided to Barclays), we have considered Barclays account on a combined basis (i.e. including BAR005-BAR021 divisions) in-line with Management's view.

b. Professional services (continued):

– Santander: Represents an adjustment to allocate the amount billed in FY18 (i.e., $101,000 in Oct-18) for work that was performed in the preceding six month period.

c. SaaS:

– Barclays (incl. BAR005 – BAR021): Management represents that SaaS fee discounts were provided to Barclays in Apr-19 and Oct-19 (approx. $56,000 and $58,000, respectively) related to the services rendered in the prior six months. An adjustment is made to allocated the discounts to the periods to which they relate.

– Communisis: SaaS revenue related to Communisis was primarily billed in advance and recorded on an annual basis (i.e., $74,000 in Oct-18 related to the following twelve months). This adjustment allocates the pre-billed amounts on a monthly basis over the respective term of the invoice.

Quality of earnings (4 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
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7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
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EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments (continued):

1. Revenue adjustment (continued):

Revenue adjustment (potential)			
$'000	FY18	FY19	TTM Mar-20
Barclays (incl. BAR005-BAR021)	-	(23)	(70)
CHEP	0	1	(45)
Other	1	(3)	1
Hosting	2	(25)	(113)
CHEP	(4)	1	(29)
Santander	165	(141)	(33)
Professional services and other	161	(140)	(63)
Communisis	-	(78)	(90)
Barclays (incl. BAR005-BAR021)	-	(57)	66
Other	(89)	-	(0)
SaaS	(89)	(135)	(24)
CS deferred revenue	(296)	-	-
Total	**(222)**	**(300)**	**(200)**

See Note1 for scope limitation regarding this adjustment

Source: Management provided information
Note: Management has historically accounted for BAR005-BAR021 divisions under the Barclays client account. Starting in FY20, these accounts were rebranded under ABSA. For the purposes of accurately adjusting the historical results (e.g. adjusting for client discounts provided to Barclays), we have considered Barclays account on a combined basis (i.e. including BAR005-BAR021 divisions) in-line with Management's view.

c. SaaS (continued):

– Other: Represents other normalizations for pre-billed amounts and discounts offered over the historical period related to the South African end customer. The VARs charge the end customer approximately a 20% markup of the license fee expense paid to CS. Therefore, this amount is marked-down to reflect the license fee revenue amount received by CS. See Appendix 9 for details.

d. CS deferred revenue: As stated above, the license fee cost in the VARs and SA entities should equal to Striata CS's license fee revenue. However, in FY18 an out-of-period intercompany deferred revenue amount is recognized in CS's income statement. Therefore, this adjustment eliminates the $0.3 million from CS' revenue as shown in the table below:

License fee			
$'000	FY18	FY19	TTM Mar-20
Striata CS - license fee revenue	1,923	1,351	1,180
VARs + SA - license fee cost	(1,628)	(1,351)	(1,180)
Net license fee	**296**	**-**	**-**

Source: Management provided information

KPMG

Quality of earnings (5 of 12)

Quality of Earnings

$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
3 Payroll	(359)	(335)	(331)	(329)
4 Bad debts	-	75	75	75
5 Foreign exchange	(67)	(162)	8	18
6 Bonus expense	-	(0)	219	5
7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments (continued):

2. **Tech and Coop's third party expenses:** Management's reported consolidated EBITDA includes items related to Tech and Coop (i.e., entities excluded from transaction perimeter). This adjustment removes third party expenses that are not eliminated upon consolidation and is comprised of the following:

Tech and Coop's 3rd party expenses

$'000	FY18	FY19	TTM Mar-20	TTM May-20
Accounting fees	90	97	109	128
Legal fees	31	6	21	21
Consulting fees internati	(150)	134	180	181
Bank charges	5	2	4	4
Total expense	**(23)**	**239**	**314**	**334**

Source: Management provided information

3. **Payroll:** This adjustment is comprised of the payroll of the Company's CEO and Managing Director of South Africa region that are recorded in the entities outside of the transaction perimeter but who will remain with the Company post transaction.

Payroll

000	FY18	FY19	TTM Mar-20	TTM May-20	
Managing Director (ZAR'000)	(1,688)	(1,688)	(1,688)	(1,688)	
Managing Director (USD'000)	(129.8)	(117.9)	(114.3)	(111.5)	[A]
CEO (GBP'000)	(170)	(170)	(170)	(170)	
CEO (USD'000)	(229)	(217)	(217)	(217)	[B]
Payroll, adjustment	**(359)**	**(335)**	**(331)**	**(329)**	[C]=[A]+[B]

Source: Management provided information

4. **Bad debts:** Management represents the bad debt expense recorded in Sep-19 reflects a conservative accounting provision rather than specified uncollectible amounts. Based on the absence of any significant historical bad debts and our understanding of a reputable customer base, an adjustment is made to reverse the FY19 provision.

Quality of earnings (6 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
3 Payroll	(359)	(335)	(331)	(329)
4 Bad debts	-	75	75	75
5 Foreign exchange	(67)	(162)	8	18
6 Bonus expense	-	(0)	219	5
7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments (continued):

5. **Foreign exchange**: A significant portion of the foreign exchange gain in the historical period is driven by USD billings in the UK entity. As the GBP depreciated against the USD over the historical period, foreign exchange gains from holding accounts receivable were recorded. However, on a consolidated level, when assessing the Company's available cash for distribution to shareholders (in USD), the gains recorded in UK do not translate to increased USD funds as the amount of USD funds collected by the UK entity are reported as the same amount in USD on consolidation, regardless of foreign exchange movements. The foreign exchange gain recorded in the UK therefore, does not translate into an increased commercial benefit (i.e., increase in cash) that is available to be distributed/paid to investors and lenders. For this reason, the foreign exchange gain is removed in the historical periods. Further, the foreign exchange gain was recorded due to the continued depreciation of the GBP over the historical period. This trend may or may not continue in future periods post transaction.

6. **Bonus expense:** The Company pays discretionary bonuses to all employees and records a monthly accrual that is trued up at year-end based on the Company's financial performance. In FY20, this true-up is recorded in Apr-20. Therefore, this adjustment reflects the following:
   i. Allocates the true-up of YTD May-20 bonus accrual recorded in Apr-20 to October 2019 to May 2020 periods; and
   ii. Allocates the year-end bonus adjustments evenly over the fiscal FY18 and FY19 periods.

   The table below contains further details:

Bonus expense					
$'000	FY18	FY19	TTM Mar-20	TTM May-20	
Salary expense reported	(4,368)	(4,640)	(4,617)	(4,237)	[A]
Bonus expense, reported	(150)	(355)	(379)	(381)	[B]
EBITDA reported (exld. Bonus expense and dividend)	9,976	10,509	10,171	10,358	
FY18 and FY19 bonus expense adjusted	-	-	(2,532)	(1,693)	[C]
YTD Mar-20 Bonus accrual adjusted	(4,518)	(4,995)	(2,245)	(2,920)	[D]
Bonues expese adjusted	(4,518)	(4,995)	(4,777)	(4,613)	[E]=[C]+[D]
Salary and bonus expense, adjustment	**-**	**-**	**219**	**5**	[F]=[E]-[A]+[B]

Source: Management provided information
Note: Management booked the Apr-20 bonus true-up in salary account (as opposed to bonus), therefore, the adjustment above takes into account both of these accounts.

Quality of earnings (7 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments				
1 Revenue adjustment	(222)	(300)	(200)	(268)
2 Tech and Coop's 3rd party expenses	(23)	239	314	334
3 Payroll	(359)	(335)	(331)	(329)
4 Bad debts	-	75	75	75
5 Foreign exchange	(67)	(162)	8	18
6 Bonus expense	-	(0)	219	5
7 Gain from sale of assets	(1,109)	-	(0)	(0)
8 Consulting fees (international)	247	-	-	-
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential adjustments (continued):

7. **Gain from sale of assets:** The South African VARs (i.e. Commercial, Document, Marketing and Messaging) repurchased shares from Striata Communication Solutions, resulting in a gain recorded in FY18. This amount is excluded from EBITDA due to its non-operating and intercompany nature.

8. **Consulting fees (international):** This adjustment normalizes FY18 consulting fees which includes non-recurring items based on the run-rate of expense in FY19 and TTM May-20.

Consulting fees (international)				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Consulting fees - international, reported	(171)	(207)	(259)	(257)
Less: Consulting fees - international, Tech and Coop	150	(134)	(180)	(181)
Consulting fees - international, excl. Tech and Coop	(321)	(74)	(79)	(76)
Consulting fees, adjusted	(74)	(74)	(79)	(76)
Consulting fees international, adjustment	**247**	**-**	**-**	**-**

Source: Management provided information

Quality of earnings (8 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments				
9 Revenue adjustment	(729)	(313)	(91)	(48)
10 Annualized revenue adjustment	3,245	1,613	992	665
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments				
9 Revenue adjustment	(729)	(313)	(91)	(48)
10 Annualized recurring revenue	3,245	1,613	992	665
11 Rent expense	(0)	13	6	3
12 Consulting fees local	110	-	-	-
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Pro forma adjustments:

9. **Revenue adjustment:** This adjustment reflects the run-rate impact of changes in the Company's revenue profile (e.g., loss of significant customers or revenue streams, etc.). Refer to the table below for further detail:

Revenue adjustment (pro forma)			
$'000	FY18	FY19	TTM Mar-20
First National Bank - EBU	(342)	(229)	(101)
Old Mutual (SaaS)	(120)	(107)	(22)
Southern Company Gas	123	82	32
Transpromo	(390)	(59)	-
SaaS and hosting, adjustment	**(729)**	**(313)**	**(91)**

Source: Management provided information

See Note1 for scope limitation regarding this adjustment

License revenue from South African market: Due to the transaction structure that excludes the South African VARs. Going forward, Client receives license fee revenue from the South African entities.

Historically, the license fee mark-up is approximately 20% (i.e., license fee revenue recorded in CS is 80% of the amount charged to end customers). Therefore, the revenue adjustments related to the South African entities have been marked down by 80% to reflect CS's share. See the Appendix section for details of the transactions between CS and the VARs and SA. Note that the calculation excludes certain SaaS revenue streams i.e. message delivery and SDR. See Appendix 9 for details.

- First National Bank (SA): Management represents First National Bank (specifically the EBU division) shifted its focus to its mobile application starting Jan-20 and reduced the budget for third party IT service providers. This resulted in the loss of the SaaS fees related to this client starting in Jan-20. The adjustment removes the SaaS fees recorded prior to Jan-20 (approximately $26,000 per month) to reflect the current run-rate.
- Old Mutual (SA): Management represents Old Mutual decided to use its cellular carrier to send messages and notifications starting in Jan-20. As such, SaaS fees attributable to this account decreased significantly in Jan-20 to Mar-20 (i.e. $10,000 monthly fees prior to Jan-20 vs. $1,300 after Jan-20). This adjustment normalizes the historical Old Mutual SaaS revenue to reflect the new run-rate of $1,300 per month.

Quality of earnings (9 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments				
9 Revenue adjustment	(729)	(313)	(91)	(48)
10 Annualized revenue adjustment	3,245	1,613	992	665
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments				
9 Revenue adjustment	(729)	(313)	(91)	(48)
10 Annualized recurring revenue	3,245	1,613	992	665
11 Rent expense	(0)	13	6	3
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Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Pro forma adjustments:

9. Revenue adjustment (continued):

Revenue adjustment (pro forma)			
$'000	FY18	FY19	TTM Mar-20
First National Bank - EBU	(342)	(229)	(101)
Old Mutual (SaaS)	(120)	(107)	(22)
Southern Company Gas	123	82	32
Transpromo	(390)	(59)	-
SaaS and hosting, adjustment	**(729)**	**(313)**	**(91)**

Source: Management provided information

See Note1 for scope limitation regarding this adjustment

- – Southern Company Gas (US): Management represents Southern Company Gas merged with AGL Resources in Aug-19 which resulted in increased volume ($35,000 current monthly average compared to $25,000 prior to the merger). This adjustment reflects the increased SaaS fee levels in the historical period prior to the AGL merger.
- – Transpromo Intelligence Marketing (US): The Company lost this account in Feb-19, hence, an adjustment is made to remove the SaaS fees related to this client in the historical period.

10. Annualized recurring revenue: This pro forma revenue adjustment annualizes the Jan-20 to Mar-20 average adjusted recurring revenue in the historical periods related to US and UK entities.

11. Rent expense: This adjustment is comprised of the following:

i. US rent: The rent expense in the US region was heightened in the FY19 period due to the use of temporary office space. The Company has decided to not continue with the temporary office and therefore, EBITDA is adjusted to reflect the current rent expense run rate.

ii. SA rent: The Company recently negotiated a new rental agreement for the South Africa region in FY20. An adjustment is made to reflect the newly negotiated rent expense (i.e., ZAR1.23 million, annually) in the historical periods.

12. Consulting fees local: The Company incurred $110,000 of professional fees in FY18 related to a potential transaction that did not materialize. These costs are considered non-recurring in nature and removed from reported EBITDA.

Quality of earnings (11 of 12)

Quality of Earnings				
$'000	FY18	FY19	TTM Mar-20	TTM May-20
Revenue, reported	**10,705**	**12,172**	**12,115**	**12,326**
Potential adjustments	(222)	(300)	(200)	(268)
Revenue, potentially adjusted	**10,483**	**11,872**	**11,915**	**12,058**
Pro forma adjustments	2,516	1,300	901	617
Revenue, pro forma adjusted	**12,999**	**13,173**	**12,816**	**12,675**
EBITDA, reported	**4,679**	**2,171**	**(3,419)**	**(2,853)**
EBITDA margin, reported	*43.7%*	*17.8%*	*(28.2%)*	*(23.1%)*
Dividends paid	779	3,344	8,594	8,594
EBITDA, reported (ex. dividends)	**5,458**	**5,514**	**5,175**	**5,741**
EBITDA margin, reported (ex. dividends)	*51.0%*	*45.3%*	*42.7%*	*46.6%*
Potential adjustments	(1,534)	(484)	84	(165)
EBITDA, potentially adjusted	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA margin, potentially adjusted	*37.4%*	*42.4%*	*44.1%*	*46.2%*
Pro forma adjustments	2,626	1,313	907	620
EBITDA, pro forma adjusted	**6,550**	**6,344**	**6,167**	**6,195**
EBITDA margin, pro forma adjusted	*50.4%*	*48.2%*	*48.1%*	*48.9%*
13 Salaries and wages	627	627	627	627
Synergy adjustments	627	627	627	627
EBITDA, pro forma and synergy adjusted	**7,177**	**6,971**	**6,794**	**6,822**
EBITDA margin, pro forma and synergy adjusted	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information

Note1: TTM May-20 adjusted EBITDA does not include Apr-20 and May-20 diligence and pro forma revenue adjustments as the supporting documents (i.e. billings database) is outstanding for these periods.
Note2: Reported revenue and EBITDA includes the results of Tech and Coop which are subsequently removed through diligence adjustments.

Potential synergies:

13. **Salaries and wages:** Reflects potential post transaction synergies, identified by Client, related to payroll savings. Refer to the table below for a breakdown by division.

Synergies by Function	
$'000	Synergies
Management	130
Product & Development	160
Marketing	100
Professional Services	129
Information Technology	108
Synergy (payroll)	**627**

Source: Management provided information

(Note: the above schedule is provided by Client. As at the date of this report, details at the employee level to substantiate the above potential synergies remain outstanding.)

Quality of earnings (12 of 12)

Other considerations:

The following includes potential Quality of Earnings considerations identified during due diligence. These items relate to other potential issues that should be considered in the overall evaluation of the business. In addition, they may be subjective in nature and, as a result, have not been included in the Quality of Earnings schedule.

A. **COVID-19 impact:** Due to the COVID-19 pandemic, the Company experienced increased messaging volumes in January 2020 to March 2020. Management represents that the timing and magnitude of the volume increase varies by geography. Due to the ongoing nature of the pandemic and the lack of available information to segregate COVID-19 related messaging, a normalization adjustment has not been quantified. Further, it is also possible that absent COVID-19, YTD Mar-20 volumes would be similar to reported volumes with normal course client communications.

B. **Profitability of VARs and SA entities:** The reported and adjusted EBITDA of VARs and SA entities declined year over year, and therefore, their ability to pay license fees post transaction will also decline unless revenues return to historical levels or operating expenses are reduced to allow for EBITDA profitability. An indicative adjusted summary income statement for the South African entities is shown below:

VARs and SA EBITDA

	VARs + SA EBITDA, reported			Adjustment			VARs + SA EBITDA, adjusted		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Revenue	5,299	5,006	4,445	(875)	(590)	(250)	4,423	4,416	4,195
COGS	(2,720)	(2,595)	(2,187)	-	-	-	(2,720)	(2,595)	(2,187)
Gross profit	2,579	2,411	2,258	(875)	(590)	(250)	1,703	1,820	2,008
Personnel	(1,519)	(1,396)	(1,434)	(133)	(103)	(54)	(1,651)	(1,499)	(1,488)
Other Opex	(1,025)	(1,083)	(1,083)	2	7	7	(1,024)	(1,075)	(1,075)
Other expenses	(204)	(145)	(137)	-	-	-	(204)	(145)	(137)
Net income	**(170)**	**(213)**	**(395)**	**(1,006)**	**(686)**	**(297)**	**(1,176)**	**(900)**	**(692)**
Addback									
Interest	(18)	(8)	(6)	-	-	-	(18)	(8)	(6)
Taxes	39	6	6	-	-	-	39	6	6
Depreciation	249	220	211	-	-	-	249	220	211
Dividend	83	31	24	-	-	-	83	31	24
EBITDA	**183**	**36**	**(161)**	**(1,006)**	**(686)**	**(297)**	**(823)**	**(650)**	**(457)**

Revenue, TB	5,299	5,006	4,445
Intercompany	(563)	(568)	(562)
Revenue per sales database	**4,736**	**4,438**	**3,883**

Source: Management provided information

C. **Admin fees charged by CS to the VARs:** The South African VARs pay CS an administration fee to cover shared services expenses provided by CS. We understand these services will be provided by Client post close. Client should ensure a commercial agreement is negotiated to govern this revenue stream (i.e., detailed description and pricing of services).

Net admin fees

$'000	FY18	FY19	TTM Mar-20	TTM May-20
Admin fees revenue from VARs	**22**	**166**	**194**	**165**

Source: Management provided information

D. **Constant currency:** The Company invoices its customers and incurs expenses in various currencies, primarily GBP and USD. Additional translation also occurs during consolidation and month-end/year-end since the Company reports its results in USD. Using the published spot rates as at May 8th, 2020, the constant currency impact, on a consolidated basis including all Group entities, to EBITDA in the TTM Mar-20 is $23,000. Refer to Appendix 3 for further analysis. Due to the change in transaction structure, our analysis is updated to exclude the VARs and SA entities. However, we noted that since May 8th to the date of the current report no significant changes have occurred in the FX movement (i.e. GBP and USD).

E. **Customers update:** As stated in the executive summary section, the sales database for Apr-20 to May-20 is outstanding, and therefore, revenue adjustments and profitability analysis are not updated for these periods. Management represents there is no major change in the Company's profitability in these periods. The only termination is related to Dell Financial Services (TTM Mar-20 revenue is $65,000) effective Aug-20. Contract negotiations with several major customers (e.g. CHEP, Barclays and Santander) are still ongoing as of the date of this report.

F. **Maintenance fees:** Maintenance fees earned by Nedbank (one of the Group's top ten accounts in South Africa) are related to a legacy on-premise solution. Management represents that Nedbank may shift to an in-house model which may result in the loss of this revenue stream ($75,000 in TTM Mar-20).

Net working capital

Net working capital (1 of 3) - Overview

The adjacent table presents our working capital analysis using the reported trial balances of the Company.

Average net working capital for TTM May-20 decreases by $0.4 million from $3.2 million to $2.9 million after potential adjustments.

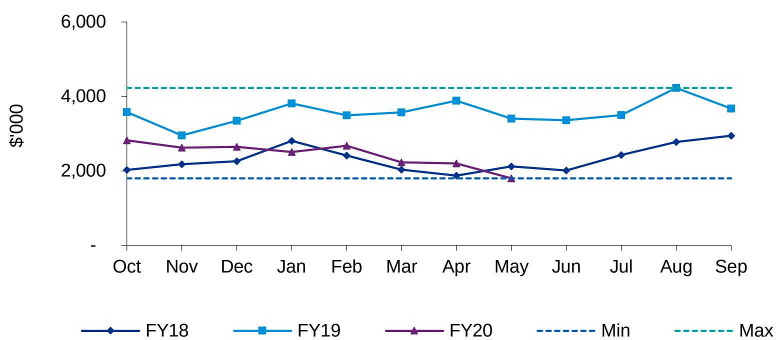
Refer to the following pages for further details.

Net working capital (US, UK, AUS and CS)

	As at				Average			
$'000	30-Sep-18	30-Sep-19	31-Mar-20	31-May-20	FY18	FY19	TTM Mar-20	TTM May-20
Assets								
Cash and cash equivalents	2,466	2,201	1,469	2,459	2,999	2,872	2,647	2,593
Trade debtors	3,310	4,474	3,010	2,411	3,060	4,355	3,880	3,541
Other receivables	30	27	61	50	171	49	52	52
Current assets	5,807	6,702	4,540	4,919	6,230	7,277	6,578	6,185
Liabilities and shareholders'equity								
Trade creditors	(93)	(69)	(65)	(16)	(543)	(273)	(229)	(141)
Other payables	(209)	(263)	(316)	(239)	(155)	(203)	(215)	(226)
Taxation Payable	(74)	(88)	(65)	(70)	(11)	(33)	(46)	(52)
Current liability	(375)	(419)	(446)	(325)	(709)	(508)	(490)	(419)
Current assets less current liabilities								
Cash and cash equivalents	(2,466)	(2,201)	(1,469)	(2,459)	(2,999)	(2,872)	(2,647)	(2,593)
Taxes	74	88	65	70	11	33	46	52
Interest	-	-	-	-	-	-	-	-
Reported NWC	**3,039**	**4,169**	**2,690**	**2,206**	**2,532**	**3,929**	**3,487**	**3,225**
Diligence adjustments	(93)	(496)	(459)	(406)	(211)	(361)	(357)	(370)
NWC diligence adjusted	**2,946**	**3,673**	**2,231**	**1,799**	**2,321**	**3,568**	**3,130**	**2,855**
Revenue, diligence adjusted (consolidated)	**10,483**	**11,872**	**11,915**	**12,058**	**10,483**	**11,872**	**11,915**	**12,058**
NWC diligence adj, combined % TTM revenue	*28.1%*	*30.9%*	*18.7%*	*14.9%*	*22.1%*	*30.1%*	*26.3%*	*23.7%*

Source : Trial balances; KPMG analysis

Adjusted NWC, seasonality



Source : Internal trial balances; KPMG analysis

Basis of presentation

- The net working capital normalization schedule summarizes potential adjustments to be considered which were identified for the periods ended September 30, 2018, 2019, March 31, 2020 and May 31, 2020.
- The reported net working capital schedule is presented on a combined basis. entries not available on a monthly basis.
- The intercompany AR/AP balances are subsequently eliminated as part of the diligence adjustment.
- The reported combined net working capital schedule excludes the balances related to the VARs, SA, Tech and Coop, as they are not included within the transaction perimeter.
- The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Net working capital (2 of 3) - *Potential adjustments*

Net working capital (US, UK, AUS and CS)								
	As at				Average			
$'000	30-Sep-18	30-Sep-19	31-Mar-20	31-May-20	FY18	FY19	TTM Mar-20	TTM May-20
Assets								
Cash and cash equivalents	2,466	2,201	1,469	2,459	2,999	2,872	2,647	2,593
Trade debtors	3,310	4,474	3,010	2,411	3,060	4,355	3,880	3,541
Other receivables	30	27	61	50	171	49	52	52
Current assets	5,807	6,702	4,540	4,919	6,230	7,277	6,578	6,185
Liabilities and shareholders'equity								
Trade creditors	(93)	(69)	(65)	(16)	(543)	(273)	(229)	(141)
Other payables	(209)	(263)	(316)	(239)	(155)	(203)	(215)	(226)
Taxation Payable	(74)	(88)	(65)	(70)	(11)	(33)	(46)	(52)
Current liability	(375)	(419)	(446)	(325)	(709)	(508)	(490)	(419)
Current assets less current liabilities								
Cash and cash equivalents	(2,466)	(2,201)	(1,469)	(2,459)	(2,999)	(2,872)	(2,647)	(2,593)
Taxes	74	88	65	70	11	33	46	52
Interest	-	-	-	-	-	-	-	-
Reported NWC	**3,039**	**4,169**	**2,690**	**2,206**	**2,532**	**3,929**	**3,487**	**3,225**
Diligence adjustments								
1 Bonus accrual	(150)	(355)	(265)	(323)	(144)	(251)	(295)	(297)
2 Leave pay provision	(53)	(67)	(61)	(83)	(58)	(53)	(61)	(66)
3 NWC impact of revenue adj.	105	(93)	(157)	(27)	(45)	(38)	(28)	(46)
4 Provision for doubtful accounts	27	27	27	27	77	27	27	27
5 Intercompany balances	(18)	1	3	3	(24)	(34)	6	19
6 Sundry suppliers accrual	(5)	(7)	(4)	(3)	(7)	(7)	(7)	(6)
7 General accrual	(0)	(2)	(0)	(1)	(12)	(4)	(0)	(0)
8 Sundry prepaid	(0)	-	-	-	(0)	-	-	-
9 Prepaid insurance	1	-	-	-	1	0	-	-
Diligence adjustments	(93)	(496)	(459)	(406)	(211)	(361)	(357)	(370)
NWC diligence adjusted	**2,946**	**3,673**	**2,231**	**1,799**	**2,321**	**3,568**	**3,130**	**2,855**
Revenue, diligence adjusted (consolidated)	**10,483**	**11,872**	**11,915**	**12,058**	**10,483**	**11,872**	**11,915**	**12,058**
NWC diligence adj, combined % TTM revenue	*28.1%*	*30.9%*	*18.7%*	*14.9%*	*22.1%*	*30.1%*	*26.3%*	*23.7%*

Source: Trial balances; KPMG analysis

Note1: The reported net working capital schedule is presented on a combined basis. entries not available on a monthly basis. The intercompany AR/AP balances are subsequently eliminated as part of the diligence adjustment.

Note2: The reported combined net working capital schedule excludes the balances related to the VARs, SA, Tech and Coop, as they are not included within the transaction perimeter.

Potential adjustments

The following net working capital adjustments were identified during due diligence:

1. **Bonus accrual:** Corresponding to QofE adjustment #6, the bonus accrual reflects consistent monthly accruals throughout the fiscal year with payments in December and June of the following fiscal year. Please see the QofE section for further details on the bonus expense adjustment.
2. **Leave pay provision**: This item is recorded as part of non-current liabilities which is not included in reported working capital in the aside table. Therefore, an adjustment is made to reflect the leave pay provision in net working capital due to its operating nature.
3. **NWC impact of revenue adjustment**: Corresponding to QofE adjustment 1, the estimated AR impact is considered by applying an estimated DSO run-rate of 60 days.
4. **Provision for doubtful accounts:** Corresponding to QofE adjustment #5, this adjustment removes the bad debt provision from net working capital as it is based on a conservative accounting provision rather than actual bad debt expense experience.

Net working capital (3 of 3) - *Potential adjustments*

Net working capital (US, UK, AUS and CS)

$'000	As at 30-Sep-18	As at 30-Sep-19	As at 31-Mar-20	As at 31-May-20	Average FY18	Average FY19	Average TTM Mar-20	Average TTM May-20
Assets								
Cash and cash equivalents	2,466	2,201	1,469	2,459	2,999	2,872	2,647	2,593
Trade debtors	3,310	4,474	3,010	2,411	3,060	4,355	3,880	3,541
Other receivables	30	27	61	50	171	49	52	52
Current assets	5,807	6,702	4,540	4,919	6,230	7,277	6,578	6,185
Liabilities and shareholders'equity								
Trade creditors	(93)	(69)	(65)	(16)	(543)	(273)	(229)	(141)
Other payables	(209)	(263)	(316)	(239)	(155)	(203)	(215)	(226)
Taxation Payable	(74)	(88)	(65)	(70)	(11)	(33)	(46)	(52)
Current liability	(375)	(419)	(446)	(325)	(709)	(508)	(490)	(419)
Current assets less current liabilities								
Cash and cash equivalents	(2,466)	(2,201)	(1,469)	(2,459)	(2,999)	(2,872)	(2,647)	(2,593)
Taxes	74	88	65	70	11	33	46	52
Interest	-	-	-	-	-	-	-	-
Reported NWC	**3,039**	**4,169**	**2,690**	**2,206**	**2,532**	**3,929**	**3,487**	**3,225**
Diligence adjustments								
1 Bonus accrual	(150)	(355)	(265)	(323)	(144)	(251)	(295)	(297)
2 Leave pay provision	(53)	(67)	(61)	(83)	(58)	(53)	(61)	(66)
3 NWC impact of revenue adj.	105	(93)	(157)	(27)	(45)	(38)	(28)	(46)
4 Provision for doubtful accounts	27	27	27	27	77	27	27	27
5 Intercompany balances	(18)	1	3	3	(24)	(34)	6	19
6 Sundry suppliers accrual	(5)	(7)	(4)	(3)	(7)	(7)	(7)	(6)
7 General accrual	(0)	(2)	(0)	(1)	(12)	(4)	(0)	(0)
8 Sundry prepaid	(0)	-	-	-	(0)	-	-	-
9 Prepaid insurance	1	-	-	-	1	0	-	-
Diligence adjustments	(93)	(496)	(459)	(406)	(211)	(361)	(357)	(370)
NWC diligence adjusted	**2,946**	**3,673**	**2,231**	**1,799**	**2,321**	**3,568**	**3,130**	**2,855**
Revenue, diligence adjusted (consolidated)	**10,483**	**11,872**	**11,915**	**12,058**	**10,483**	**11,872**	**11,915**	**12,058**
NWC diligence adj, combined % TTM revenue	*28.1%*	*30.9%*	*18.7%*	*14.9%*	*22.1%*	*30.1%*	*26.3%*	*23.7%*

Source: Trial balances; KPMG analysis

Note1: The reported net working capital schedule is presented on a combined basis. entries not available on a monthly basis. The intercompany AR/AP balances are subsequently eliminated as part of the diligence adjustment.

Note2: The reported combined net working capital schedule excludes the balances related to the VARs, SA, Tech and Coop, as they are not included within the transaction perimeter.

Potential adjustments (continued)

5. **Intercompany balances:** This adjustment eliminates intercompany balances between Striata UK, US, Australia and CS

Intercompany AR

$'000	As at 30-Sep-18	As at 30-Sep-19	As at 31-Mar-20	As at 31-May-20	Average FY18	Average FY19	Average TTM Mar-20	Average TTM May-20
CS	(58)	(45)	(55)	-	(179)	(203)	(168)	(85)
US	-	-	0	-	(278)	(15)	(3)	(3)
UK	(4)	(11)	(1)	-	(70)	(37)	(27)	(15)
AUS	(17)	-	-	-	(8)	(16)	(6)	(2)
Total interco AR	**(79)**	**(55)**	**(55)**	**-**	**(536)**	**(270)**	**(205)**	**(105)**

Intercompany AP

$'000	As at 30-Sep-18	As at 30-Sep-19	As at 31-Mar-20	As at 31-May-20	Average FY18	Average FY19	Average TTM Mar-20	Average TTM May-20
CS	3	11	-	-	67	36	27	15
US	5	0	1	-	12	5	3	3
UK	52	45	57	3	432	194	179	106
AUS	-	-	-	-	-	-	-	-
Total interco AP	**61**	**56**	**58**	**3**	**511**	**236**	**210**	**124**
Net intercompany	**(18)**	**1**	**3**	**3**	**(24)**	**(34)**	**6**	**19**

Source: Trial balances; KPMG analysis

6. **Sundry suppliers accrual**: This item is recorded as part of non-current liabilities, and therefore, an adjustment is made to reflect the sundry suppliers accrual in net working capital due to its operating nature.
7. **General accrual:** This item is recorded as part of non-current liabilities, and therefore, an adjustment is made to reflect the general accrual in net working capital due to its operating nature. The reported amount in Oct-17 to Dec-17 is excluded from the adjustment as it relates to the non-recurring payroll accrual (e.g., a delayed payment) of the CEO.
8. **Sundry prepaid:** This adjustment eliminates the non-recurring and non-operating prepaid expense related to the payment to a financial advisor in FY18.
9. **Prepaid insurance:** This item is recorded as part of non-current liabilities, and therefore, an adjustment is made to reflect the prepaid insurance in net working capital due to its operating nature.

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Financial performance

Supporting analysis

Revenue (1) - Overview

The adjacent table presents the segregation of revenue by type (i.e. recurring vs. non-recurring). Note that SaaS fees for the UK, US and AUS agencies comprised 57.1% of total revenue in TTM Mar-20, which is higher than the prior periods (54.3% of the total revenue in FY19 and 52.8% in FY18).

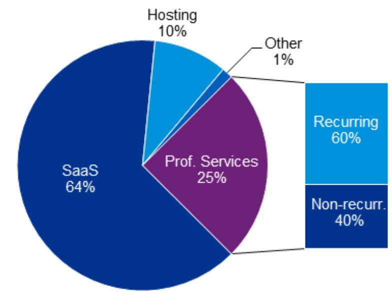
Revenue by type

	[A]			[B]			[A]+[B]					
	Recurring			Non-recurring			Total			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
SaaS	5,648	6,611	6,914	-	-	-	5,648	6,611	6,914	*52.8%*	*54.3%*	*57.1%*
Professional services	1,087	1,767	1,657	1,432	1,328	1,032	2,519	3,095	2,688	*23.5%*	*25.4%*	*22.2%*
Hosting	657	801	1,026	-	-	-	657	801	1,026	*6.1%*	*6.6%*	*8.5%*
Other	(3)	14	108	5	37	46	3	51	154	*0.0%*	*0.4%*	*1.3%*
US, UK and AUS	7,389	9,194	9,705	1,437	1,364	1,078	8,826	10,558	10,782	*82.4%*	*86.7%*	*89.0%*
Group licensing reveue	1,879	1,614	1,333	-	-	-	1,879	1,614	1,333	*17.6%*	*13.3%*	*11.0%*
Total revenue	**9,268**	**10,808**	**11,038**	**1,437**	**1,364**	**1,078**	**10,705**	**12,172**	**12,115**	***100.0%***	***100.0%***	***100.0%***

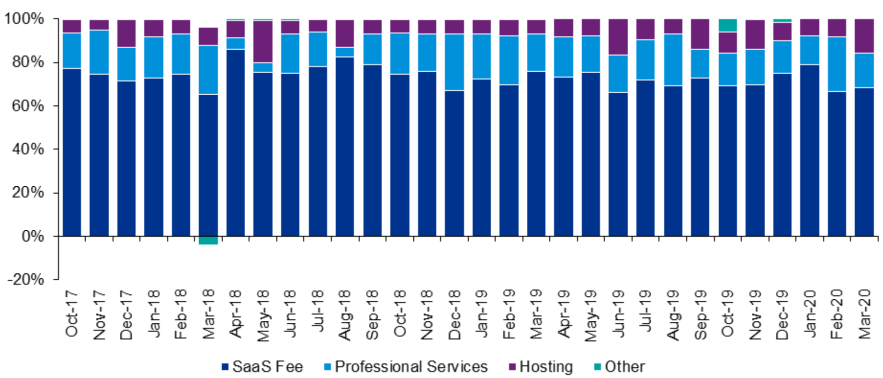
Source: Management provided information; KPMG analysis

Note: The table presents the reported results based on the time of billing. Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement.

US, UK and AUS revenue composition TTM Mar-20



UK, US and AUS revenue streams



Source: Management provided information; KPMG analysis

***Note:** The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, Client receives license revenues related to the South African region's SaaS revenues. This analysis is based on the sales database and focuses only on the US, UK and Australia. See Appendix 6 for the reconciliation between sales database and revenue per TB.*

Revenue streams

- SaaS fees: Volume based fee for the use of the software. Charges can be measured with 'credits' that relate to the level of sophistication of the output. The greater the complexity and number of elements included in a message the greater the number of credits needed per message. This allows for a contract to be agreed upfront and then the cost of a message to increase as the client adds extra elements to the process and output.
- Professional services: The second largest revenue stream is professional services, which can be recurring and non-recurring in nature.
  - Recurring professional services: Primarily related to template change requests for existing documents.
  - Non-recurring professional services: Ad-hoc services related to campaign set-up, etc. and are billed on a time and materials basis.
- Hosting: Related to hosting services and associated people costs (security, monitoring, maintenance, etc.).
- Other: Primarily comprised of pass-through revenue related to 3rd party costs. Management has indicated that margin varies for each client.

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Supporting analysis

Revenue (2) - Recurring revenue overview

The analysis below presents the recurring revenue buckets. SaaS fees represent 65.8% of total recurring revenue in TTM Mar-20. SaaS fees increased from $5.6 million in FY18 to $6.9 million in TTM Mar-20 with a steady increase year over year (refer to the seasonality of SaaS fees illustration below).

Recurring revenue

	[A]			[B]			[C]			[D]			[E]			[A]			Recurring as % of total		
	Hosting			Maintenance			1 Professional Services			2 SaaS Fee			Other			Recurring revenue					
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Amalgamated Banks of South Africa	195	316	450	-	-	-	165	187	213	780	1,091	1,154	(8)	13	52	1,133	1,608	1,869	10.2%	12.4%	14.4%
National Grid	-	-	-	-	-	-	12	-	-	961	1,099	1,239	-	-	-	973	1,099	1,239	8.8%	8.5%	9.6%
Santander UK	58	136	199	-	-	-	44	542	455	88	414	549	-	-	0	190	1,092	1,203	1.7%	8.4%	9.3%
Paragon Customer Communications	47	73	66	-	-	-	28	29	44	534	515	531	-	-	6	609	616	647	5.5%	4.8%	5.0%
CHEP	114	89	142	-	-	-	62	59	105	186	370	288	-	-	-	363	517	536	3.3%	4.0%	4.1%
Southern Company Gas	-	-	-	-	-	-	63	145	95	294	334	385	-	-	-	356	479	479	3.2%	3.7%	3.7%
Communisis	-	31	30	-	-	-	-	62	71	-	281	264	-	-	6	-	374	371	-	2.9%	2.9%
Suez	-	-	-	-	-	-	-	-	-	238	253	229	-	-	-	238	253	229	2.2%	1.9%	1.8%
American Water	-	-	-	-	-	-	31	-	7	178	225	276	-	-	-	210	225	283	1.9%	1.7%	2.2%
Amdocs	-	-	-	-	-	-	-	37	81	-	54	110	-	-	-	-	91	191	-	0.7%	1.5%
Top 10	414	645	887	-	-	-	406	1,060	1,071	3,260	4,637	5,025	(8)	13	64	4,072	6,355	7,046	36.8%	49.0%	54.4%
Others (69 clients)	243	155	139	-	-	-	687	709	630	2,388	1,974	1,889	-	-	(0)	3,317	2,838	2,658	30.0%	21.9%	20.5%
US, UK and AUS (79 clients)	**657**	**801**	**1,026**	**-**	**-**	**-**	**1,092**	**1,769**	**1,700**	**5,648**	**6,611**	**6,914**	**(8)**	**13**	**64**	**7,389**	**9,194**	**9,705**	**66.8%**	**71.0%**	**75.0%**
South africa (69 clients)	107	109	80	377	339	289	469	719	732	2,237	2,024	1,605	484	572	533	3,673	3,763	3,241	33.2%	29.0%	25.0%
Total	**764**	**909**	**1,107**	**377**	**339**	**289**	**1,561**	**2,488**	**2,432**	**7,885**	**8,635**	**8,519**	**476**	**585**	**597**	**11,063**	**12,957**	**12,945**	**100.0%**	**100.0%**	**100.0%**
As % of the total (UK, US, AUS)	8.9%	8.7%	10.6%	-	-	-	14.8%	19.2%	17.5%	76.4%	71.9%	71.2%	(0.1%)	0.1%	0.7%	100.0%	100.0%	100.0%			
Reconciliation to PL																					
Total UK, US, AUS																7,389	9,194	9,705			
Group licensing fees																1,879	1,614	1,333			
Recurring revenue, reported																**9,268**	**10,808**	**11,038**			

1 Historically, the largest revenue stream has been SaaS fees ranging from 66.3% (in Mar-20) to 86.3% (in Apr-18) of recurring revenue.

SaaS fees increased from $5.6 million in FY18 to $6.9 million in TTM Mar-20, this was primarily related to two new clients in FY18 (Santander and CHEP) in the UK region, which generated $0.1 million in FY18 and $0.8 million in TTM Mar-20.

2 Recurring professional services increased by $0.6 million from FY18 to TTM Mar-20. Non-recurring professional services decreased by $0.9 million over the same period.

***Note:** The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, client receives license revenues related to the South African region through the CS entity. This analysis is based on the sales database and focuses only on the US, UK and Australia. See appendix 6 for the reconciliation between sales database and revenue per TB.*

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Revenue (3) - Non-recurring revenue overview

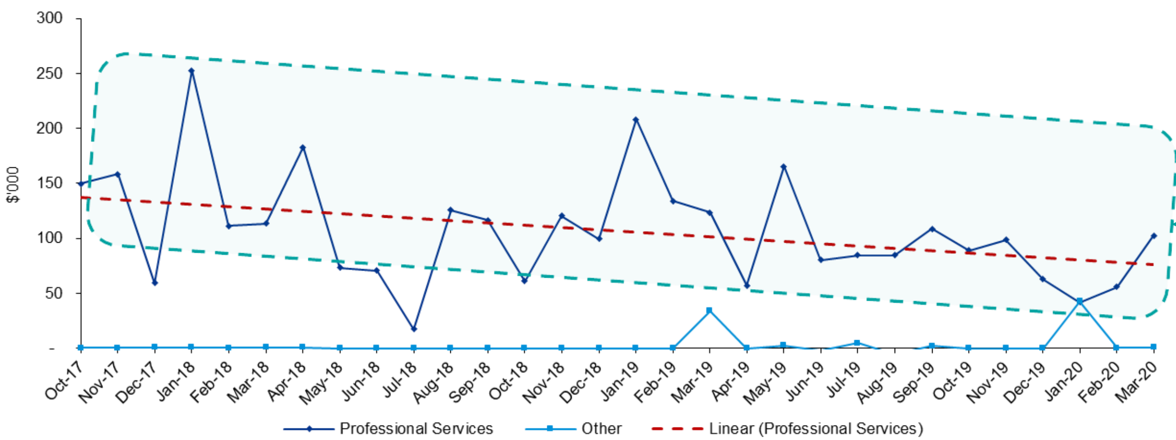
The illustration below presents the composition of non-recurring revenue by type. Professional services non-recurring services decreased from $1.4 million in FY18 to $1 million in TTM Mar-20.

Non-recurring revenue

	[A]			[B]			[A]+[B] Non-recurring revenue			Non- Recurring as % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Amalgamated Banks of South Africa	101	141	241	6	-	1	106	141	243	*4.3%*	*6.9%*	*14.1%*
National Grid	85	132	48	-	-	-	85	132	48	*3.4%*	*6.5%*	*2.8%*
Santander UK	96	-	-	-	24	33	96	24	33	*3.8%*	*1.2%*	*1.9%*
Paragon Customer Communications	30	6	(1)	-	6	6	30	12	5	*1.2%*	*0.6%*	*0.3%*
CHEP	62	186	41	-	-	-	62	186	41	*2.5%*	*9.1%*	*2.4%*
Southern Company Gas	-	-	33	-	-	-	-	-	33	-	-	*1.9%*
Communisis	-	22	43	-	5	5	-	27	48	-	*1.3%*	*2.8%*
Suez	90	95	96	-	-	-	90	95	96	*3.6%*	*4.7%*	*5.6%*
American Water	-	73	42	-	-	-	-	73	42	-	*3.6%*	*2.4%*
Amdocs	-	80	80	-	-	-	-	80	80	-	*3.9%*	*4.7%*
Top 10	463	735	623	6	35	45	469	771	668	*18.8%*	*37.8%*	*38.9%*
Others (69 clients)	969	592	409	5	3	2	968	594	409	*38.7%*	*29.1%*	*23.8%*
US, UK and AUS (79 clients)	**1,432**	**1,328**	**1,032**	**11**	**38**	**48**	**1,437**	**1,364**	**1,078**	***57.5%***	***66.9%***	***62.7%***
South africa (69 clients)	1,058	597	569	5	78	72	1,063	675	642	*42.5%*	*33.1%*	*37.3%*
Total	**2,490**	**1,925**	**1,601**	**16**	**116**	**120**	**2,500**	**2,039**	**1,720**	***100.0%***	***100.0%***	***100.0%***

Source: Management provided information; KPMG analysis

Non-recurring revenue



Non-recurring professional services reflect a decreasing trend over the historical period.

Non-recurring revenue streams

- Professional services: These are charges for the non-recurring professional services that are based on quoted amounts related to the time and materials spent on the project.
- Other: Amounts that are not classified under any of the other categories.

Note: *The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, client receives license revenues related to the South African region through the CS entity. This analysis is based on the sales database and focuses only on the US, UK and Australia. See appendix 6 for the reconciliation between sales database and revenue per TB.*

Revenue (4) - by customer (top ten customers)

The illustration below presents the composition of revenue by customer and type (i.e. recurring vs. non-recurring). Top ten customers consisted of 52.6% of total revenue in TTM Mar-20. Refer to the next slides for detailed discussion on the top ten customers.

Top 10 customers

	[A] Recurring revenue			[B] Non-recurring revenue			[A] + [B] Total revenue			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
1 Amalgamated Banks of South Africa	1,133	1,608	1,869	106	141	243	1,240	1,749	2,112	*9.1%*	*11.7%*	*14.4%*
National Grid	973	1,099	1,239	85	132	48	1,058	1,231	1,288	*7.8%*	*8.2%*	*8.8%*
Santander UK	190	1,092	1,203	96	24	33	286	1,117	1,235	*2.1%*	*7.4%*	*8.4%*
Paragon Customer Communications	609	616	647	30	12	5	639	628	652	*4.7%*	*4.2%*	*4.4%*
CHEP	363	517	536	62	186	41	425	703	576	*3.1%*	*4.7%*	*3.9%*
Southern Company Gas	356	479	479	-	-	33	356	479	512	*2.6%*	*3.2%*	*3.5%*
Communisis	-	374	371	-	27	48	-	401	419	-	*2.7%*	*2.9%*
Suez	238	253	229	90	95	96	328	348	325	*2.4%*	*2.3%*	*2.2%*
American Water	210	225	283	-	73	42	210	299	324	*1.5%*	*2.0%*	*2.2%*
Amdocs	-	91	191	-	80	80	-	171	271	-	*1.1%*	*1.8%*
2 Top 10	4,072	6,355	7,046	469	771	668	4,541	7,126	7,715	*33.5%*	*47.5%*	*52.6%*
Others (69 clients)	3,317	2,838	2,658	968	594	409	4,285	3,432	3,068	*31.6%*	*22.9%*	*20.9%*
US, UK and AUS (79 clients)	**7,389**	**9,194**	**9,705**	**1,437**	**1,364**	**1,078**	**8,826**	**10,558**	**10,782**	***65.1%***	***70.4%***	***73.5%***
South africa (69 clients)	3,673	3,763	3,241	1,063	675	642	4,736	4,438	3,883	*34.9%*	*29.6%*	*26.5%*
Total	**11,063**	**12,957**	**12,945**	**2,500**	**2,039**	**1,720**	**13,563**	**14,996**	**14,665**	***100.0%***	***100.0%***	***100.0%***

Source: Management provided information; KPMG analysis

Contract terms

– Customer contract with Santander will expire in Oct-20, Paragon in Jan-21, ABSA in Mar-22, Southern Gas Company in Dec-20 and Communisis in Dec-20. The contract with National Grid has an autorenewal term which restarts every April.

***Note**: The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, client receives license revenues related to the South African region through the CS entity. This analysis is based on the sales database and focuses only on the US, UK and Australia. See appendix 6 for the reconciliation between sales database and revenue per TB.*

1

Includes the former Barclays codes (i.e. "BAR005 to BAR021) that are rebranded under the Amalgamated Banks of South Africa client account and billed from the UK agency.

Note that prior to the "BAR005-BAR021" codes being classified under ABSA, Barclays appeared within the top ten customer list. After the rebranding of these codes, Barclays appears as the 15th largest client with $0.2 million revenue in TTM Mar-20.

2

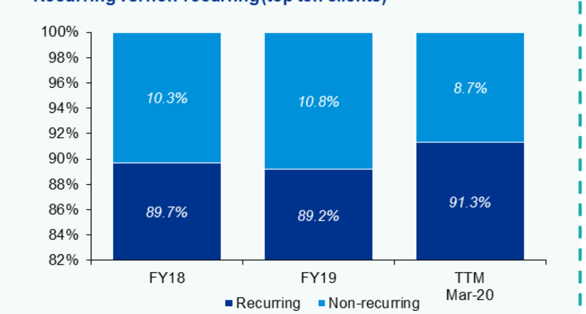
Top ten customers consisted of 52.6% of total revenue in FY18 (or $7.1 million) of which 86.4% ($6.1 million) was recurring and 13.6% ($1 million) non-recurring.

In TTM Mar-20 top ten customers consisted of 62.7% of total revenue in FY18 ($9.2 million) of which 90.3% ($8.3 million) was recurring and 9.7% ($0.9 million) non-recurring.

This indicates that the Company has increased its recurring revenue from the top ten clients over the historical period.

2

Recurring vs. non-recurring (top ten clients)



Revenue (5) - Volume analysis

The illustration below represents the volume analysis for the customers for which the volume (units) information was provided by Management.

Volume analysis

Local currency '000	Revenue ('000) Jan-19 to Sep-19	Revenue ('000) TTM Mar-20	Units ('000) Jan-19 to Sep-19	Units ('000) TTM Mar-20	Revenue/Unit Jan-19 to Sep-19	Revenue/Unit TTM Mar-20
First National Bank	2,219	2,238	42,841	43,837	0.052	0.051
Amalgamated Banks of South Africa	3,296	4,993	8,212	21,923	0.401	0.228
SIL	1,537	2,448	1,682	2,529	0.914	0.968
Nedbank	2,749	3,736	48,123	65,970	0.057	0.057
Investect	977	1,368	891	1,267	1.097	1.080
Glacier Financial Holdings Ltd	805	822	1,684	2,128	0.478	0.386
ADT Security Ltd	841	1,208	8,794	13,333	0.096	0.091
Liberty	380	594	1,031	2,731	0.369	0.217
Old Mutual	1,367	634	13,151	12,462	0.104	0.051
Eqstra Fleet Management	306	430	820	1,205	0.374	0.357
Mobile Telephone Networks Ltd	50	195	1,126	3,670	0.045	0.053
Sappi	91	117	68	88	1.341	1.330
Momentum	40	98	4,946	7,228	0.008	0.014
Mondi Limited	60	94	57	92	1.039	1.028
Clientele Life	80	89	999	1,812	0.080	0.049
Santander UK	41	50	2,403	3,291	0.017	0.015
SA	**14,839**	**19,117**	**136,828**	**183,566**	**0.108**	**0.104**
Barclays	711	932	127,157	205,308	0.006	0.005
Santander UK	269	432	209,448	339,383	0.001	0.001
Paragon Customer Communications	301	416	25,305	35,591	0.012	0.012
Communisis	110	209	20,545	28,362	0.005	0.007
CHEP	207	226	1,500	1,890	0.138	0.120
UK	**1,598**	**2,215**	**383,956**	**610,534**	**0.004**	**0.004**
National Grid	844	1,239	27,789	39,239	0.030	0.032
Southern Company Gas	254	385	17,754	29,595	0.014	0.013
Kohl's	187	293	20,499	34,577	0.009	0.008
American Water	174	276	9,563	16,602	0.018	0.017
Suez	190	229	2,015	2,693	0.094	0.085
Travelers	160	207	9,498	12,067	0.017	0.017
Piedmont NG	132	192	2,339	3,614	0.057	0.053
City of Virginia Beach	98	146	562	773	0.174	0.189
IREA	104	138	786	1,038	0.132	0.133
Baton Rouge Water	86	120	633	863	0.136	0.139
Pure	76	115	355	556	0.214	0.207
STG (Wunion)	89	118	1,184	1,610	0.075	0.073
Denver Water	79	109	726	988	0.109	0.110
Chubb	58	80	432	545	0.135	0.146
API	53	74	1,196	1,643	0.044	0.045
Citibank Japan (Unisys)	40	54	793	1,049	0.050	0.051
USA	**2,624**	**3,775**	**96,122**	**147,453**	**0.027**	**0.026**

Source: Management provided information; KPMG analysis
Note: Considering the significant currency fluctuation over the historical period and the nature of this analysis, the table local currency.

The decrease of price per unit from ZAR 0.40 in Jan-19-Sep-19 period to TTM Mar-20 period, was due to an decrease in secured messages volume, which have a significantly higher cost per unit compared to other products.

BAR005 and BAR021 accounts under Barclays were rebranded under the Amalgamated Banks of South Africa. Since, the volume analysis is provided by client rather than code, for purposes of the volume analysis we have not regrouped BAR005 to BAR021 under ABSA.

Barclays hit a new tier in Oct-19, resulting in lower cost per unit in TTM Mar-20.

Appendices

1. Engagement letter procedures
2. Adjusted income statement
3. Foreign exchange – *Constant currency*
4. Payroll and FTE analysis
5. Summary income statement and Balance sheet
6. Revenue reconciliation
7. Annualized recurring revenue (adjustment)
8. Foreign currency impact to revenue
9. VARs & SA license fee margin
10. Financial performance (including VARs)

Engagement letter procedures

Financial Due Diligence

Our work will include diligence on Striata Technology B.V., Stiata Operations Cooperatief U.A., Striata SA, Striata CS, Striata Document Solutions, Striata Marketing Solutions, Striata Messaging Solutions, Striata Commercial Solutions, Striata Ltd. (UK) and Striata Inc. (US) (collectively, "Company", or "Target"), and will concentrate on financial information for the last two fiscal years ended September 30, 2018 and 2019 and the latest trailing twelve months ("TTM20").

1. **Overview**
   Meet with Target's officers and management in order to develop an understanding of operations, including its:
   a) Basis of financial information;
   b) Organization structure;
   c) Historical growth by business/segment/geography;
   d) Significant accounting policies and estimates; and
   e) Finance function, financial reporting framework and internal control environment.
2. **Quality of earnings**
   Identify, and where possible quantify, potential earnings before interest, taxes, depreciation, and amortization ("EBITDA") normalization items by considering:
   a) Large, unusual or non-recurring events, or transactions that may have distorted results;
   b) The impact of any changes to senior management or management team structure;
   c) The impact of provisions (allowance for doubtful accounts, etc.), management estimates or adjusting entries on the reported results, as applicable;
   d) The impact of foreign currency transactions;
   e) The consolidation process;
   f) The impact of related party transactions and shared services;
   g) The impact of any changes in accounting policies, procedures and estimates; and
   h) Other potential items identified during the due diligence process.
3. **EBITDA Bridge**
   Analyze the Target's historical EBITDA and identify key drivers of year over year change:
   a) FY18 to FY19; and
   b) FY19 to TTM20.

   Supporting analyses to quality / sustainability of earnings
4. **Revenue and profitability trends**
   Obtain and read an analysis of Target's revenue and margins and inquire about:
   a) Revenue and profitability by type;
   b) Revenue and profitability by significant customer;
   c) Billing practices; and
   d) Recurring vs. non-recurring revenues.
5. **Operating expenses**
   Obtain and read an analysis of operating expenses and inquire about:
   a) Payroll analysis including bonus/incentive compensation;
   b) General and administration expenses;
   c) Rent and utilities expense;
   d) Unusual and extraordinary items.
6. **Working capital**
   a) Comment on working capital trends for the past 30 months;
   b) Adjust working capital for any significant items which are considered to be non-recurring in nature;
   c) Comment on the seasonality of working capital;
   d) Comment on cash management procedures; and
   e) Understand trade ratio trends.

Supporting analyses to working capital

7. **Accounts receivable**
   Obtain and read an analysis of accounts receivable and inquire and comment on:
   a) Trade and non-trade balances;
   b) Intercompany vs. third party balances;
   c) Aging analysis and turnover analysis; and
   d) Allowance for uncollectible accounts, write-offs and reserves.
8. **Other assets**
   Prepare a summary of other assets (e.g., other receivables, prepaid expenses and other current assets, etc.,) and comment on unusual items, significant fluctuations and significant balances.
9. **Accounts payable and accrued liabilities**
   Obtain and read an analysis of accounts payable, accrued liabilities and customer deposits and inquire about:
   a) Accounts payable aging and days outstanding;
   b) Accrued liabilities;
   c) Supplier settlement terms; and
   d) Other current and non-current liabilities.
10. **Capital expenditure and fixed assets**
    Obtain and read an analysis of historic and future capital cost requirements including:
    a) Maintenance versus growth capital expenditures;
    b) Other historical, deferred, and planned capital expenditures;
    c) Historical replacement cycle and costs; and
    d) Impairment write-downs and other issues.
11. **Net Debt**
    Prepare a summary of debt and debt-like items (e.g. notes payable, letters of credit, capital vendor payables, etc.), other assets, and liabilities and comment on unusual items, significant fluctuations and significant balances
12. **Related Party Transactions**
    Inquire about and summarize related party transactions including:
    a) Nature and extent of related party transactions, as applicable; and
    b) Basis of pricing for arrangements with related parties, as applicable.
13. **Commitments and Contingencies**
    Inquire about significant commitments and contingent liabilities including:
    a) Off-balance sheet liabilities;
    b) Purchase commitments;
    c) Operating and capital leases;
    d) Incentive compensation and employee benefit obligations;
    e) Expected or contingent liabilities (e.g. environmental, litigation, regulatory and tax); and
    f) Pending or threatened litigation or investigations.

Adjusted income statement

The adjacent table represents the Company's potential, pro forma and synergy adjusted income statement on a consolidated basis. Please refer to Quality of Earnings section for details on the potential, pro forma and synergy adjustments.

Adjusted income statement

	Reported				Definitional adjustments & dividends			
$'000	FY18	FY19	TTM Mar-20	TTM May-20	FY18	FY19	TTM Mar-20	TTM May-20
Revenue	10,705	12,172	12,115	12,326	-	-	-	-
Cost of sales	(556)	(648)	(727)	(746)	-	-	-	-
Gross profit	**10,149**	**11,524**	**11,389**	**11,580**	-	-	-	-
Gross margin%	*94.8%*	*94.7%*	*94.0%*	*93.9%*	*n.q*	*n.q*	*n.q*	*n.q*
Payroll	(4,908)	(5,363)	(5,355)	(4,959)	-	-	-	-
Professional fees	(161)	(122)	(153)	(177)	-	-	-	-
Rent expense	(116)	(111)	(109)	(104)	-	-	-	-
Other operating expenses	(729)	(938)	(934)	(10,683)	(109)	40	40	9,837
Operating expenses	(6,024)	(6,496)	(6,510)	(6,087)	-	-	-	-
Operating profit	**4,125**	**5,029**	**4,879**	**5,493**	-	-	-	-
Operating profit margin	*38.5%*	*41.3%*	*40.3%*	*44.6%*	*n.q*	*n.q*	*n.q*	*n.q*
Taxes	(289)	(285)	(304)	9,450	289	285	304	(9,450)
Dividends and admin fees	487	(3,020)	(8,289)	(8,328)	779	3,344	8,594	8,594
Depreciation and amortization	(31)	(28)	(84)	(120)	31	28	84	120
FX gains/losses	67	162	(8)	(18)	-	-	-	-
Interests	15	19	18	19	(15)	(19)	(18)	(19)
Other income and expenses	249	(3,152)	(8,668)	1,003	1,084	3,637	8,964	(755)
Net income	**4,374**	**1,877**	**(3,789)**	**6,496**	**1,084**	**3,637**	**8,964**	**(755)**
Interest	(15)	(19)	(18)	(19)	15	19	18	19
Taxes	289	285	304	(9,450)	(289)	(285)	(304)	9,450
Depreciation	31	28	84	120	(31)	(28)	(84)	(120)
Dividends paid	779	3,344	8,594	8,594	(779)	(3,344)	(8,594)	(8,594)
EBITDA, reported (ex. dividend)	**5,458**	**5,514**	**5,175**	**5,741**	**-**	**-**	**-**	**-**
EBITDA, reported (ex. dividend) %	*51.0%*	*45.3%*	*42.7%*	*46.6%*	*n.q*	*n.q*	*n.q*	*n.q*

	Potential adjustment				Potentially adjusted			
$'000	FY18	FY19	TTM Mar-20	TTM May-20	FY18	FY19	TTM Mar-20	TTM May-20
Revenue	(222)	(300)	(200)	(268)	10,483	11,872	11,915	12,058
Cost of sales	-	-	-	-	(556)	(648)	(727)	(746)
Gross profit	**(222)**	**(300)**	**(200)**	**(268)**	**9,927**	**11,224**	**11,189**	**11,312**
Gross margin%	*n.q*	*n.q*	*n.q*	*n.q*	*94.7%*	*94.5%*	*93.9%*	*93.8%*
Payroll	(359)	(335)	(112)	(323)	(5,267)	(5,698)	(5,466)	(5,282)
Professional fees	122	103	130	149	(39)	(19)	(23)	(28)
Rent expense	-	-	-	-	(116)	(111)	(109)	(104)
Other operating expenses	102	210	258	259	(737)	(688)	(635)	(588)
Operating expenses	(135)	(22)	276	85	(6,159)	(6,517)	(6,234)	(6,002)
Operating profit	**(357)**	**(322)**	**76**	**(183)**	**3,767**	**4,707**	**4,955**	**5,310**
Operating profit margin	*n.q*	*n.q*	*n.q*	*n.q*	*35.9%*	*39.6%*	*41.6%*	*44.0%*
Taxes	-	-	-	-	-	-	-	-
Dividends and admin fees	(1,109)	-	(1)	(1)	157	323	304	264
Depreciation and amortization	-	-	-	-	-	-	-	-
FX gains/losses	(67)	(162)	8	18	-	-	-	-
Interests	-	-	-	-	-	-	-	-
Other income and expenses	(1,176)	(162)	7	17	157	323	304	264
Net income	**(1,534)**	**(484)**	**84**	**(166)**	**3,924**	**5,030**	**5,259**	**5,575**
Interest	-	-	-	-	-	-	-	-
Taxes	-	-	-	-	-	-	-	-
Depreciation	-	-	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-	-	-
EBITDA, reported (ex. dividend)	**(1,534)**	**(484)**	**84**	**(166)**	**3,924**	**5,030**	**5,259**	**5,575**
EBITDA, reported (ex. dividend) %	*n.q*	*n.q*	*n.q*	*n.q*	*37.4%*	*42.4%*	*44.1%*	*46.2%*

	Pro-forma adjustment				Pro forma adjusted			
$'000	FY18	FY19	TTM Mar-20	TTM May-20	FY18	FY19	TTM Mar-20	TTM May-20
Revenue	2,516	####	901	617	12,999	13,173	12,816	12,675
Cost of sales	-	-	-	-	(556)	(648)	(727)	(746)
Gross profit	**2,516**	**####**	**901**	**617**	**12,443**	**12,525**	**12,090**	**11,929**
Gross margin%	*n.q*	*n.q*	*n.q*	*n.q*	*95.7%*	*95.1%*	*94.3%*	*94.1%*
Payroll	-	-	-	-	(5,267)	(5,698)	(5,466)	(5,282)
Professional fees	-	-	-	-	(39)	(19)	(23)	(28)
Rent expense	(0)	13	6	3	(116)	(99)	(102)	(100)
Other operating expenses	110	-	-	-	(627)	(688)	(635)	(588)
Operating expenses	110	13	6	3	(6,049)	(6,504)	(6,227)	(5,998)
Operating profit	**2,626**	**####**	**907**	**620**	**6,393**	**6,020**	**5,862**	**5,930**
Operating profit margin	*n.q*	*n.q*	*n.q*	*n.q*	*49.2%*	*45.7%*	*45.7%*	*46.8%*
Taxes	-	-	-	-	-	-	-	-
Dividends and admin fees	-	-	-	-	157	323	304	264
Depreciation and amortization	-	-	-	-	-	-	-	-
FX gains/losses	-	-	-	-	-	-	-	-
Interests	-	-	-	-	-	-	-	-
Other income and expenses	-	-	-	-	157	323	304	264
Net income	**2,626**	**1,313**	**907**	**620**	**6,550**	**6,344**	**6,166**	**6,195**
Interest	-	-	-	-	-	-	-	-
Taxes	-	-	-	-	-	-	-	-
Depreciation	-	-	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-	-	-
EBITDA, reported (ex. dividend)	**2,626**	**1,313**	**907**	**620**	**6,550**	**6,344**	**6,166**	**6,195**
EBITDA, reported (ex. dividend) %	*n.q*	*n.q*	*n.q*	*n.q*	*50.4%*	*48.2%*	*48.1%*	*48.9%*

	Synergies				Pro forma and synergy adjusted EBITDA			
$'000	FY18	FY19	TTM Mar-20	TTM May-20	FY18	FY19	TTM Mar-20	TTM May-20
Revenue	-	-	-	-	12,999	13,173	12,816	12,675
Cost of sales	-	-	-	-	(556)	(648)	(727)	(746)
Gross profit	**-**	**-**	**-**	**-**	**12,443**	**12,525**	**12,090**	**11,929**
Gross margin%	*n.q*	*n.q*	*n.q*	*n.q*	*95.7%*	*95.1%*	*94.3%*	*94.1%*
Payroll	627	627	627	627	(4,640)	(5,071)	(4,839)	(4,655)
Professional fees	-	-	-	-	(39)	(19)	(23)	(28)
Rent expense	-	-	-	-	(116)	(99)	(102)	(100)
Other operating expenses	-	-	-	-	(627)	(688)	(635)	(588)
Operating expenses	627	627	627	627	(5,422)	(5,877)	(5,600)	(5,371)
Operating profit	**627**	**627**	**627**	**627**	**7,020**	**6,648**	**6,489**	**6,558**
Operating profit margin	*n.q*	*n.q*	*n.q*	*n.q*	*54.0%*	*50.5%*	*50.6%*	*51.7%*
Taxes	-	-	-	-	-	-	-	-
Dividends and admin fees	-	-	-	-	157	323	304	264
Depreciation and amortization	-	-	-	-	-	-	-	-
FX gains/losses	-	-	-	-	-	-	-	-
Interests	-	-	-	-	-	-	-	-
Other income and expenses	-	-	-	-	157	323	304	264
Net income	**627**	**627**	**627**	**627**	**7,177**	**6,971**	**6,793**	**6,822**
Interest	-	-	-	-	-	-	-	-
Taxes	-	-	-	-	-	-	-	-
Depreciation	-	-	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-	-	-
EBITDA, reported (ex. dividend)	**627**	**627**	**627**	**627**	**7,177**	**6,971**	**6,793**	**6,822**
EBITDA, reported (ex. dividend) %	*n.q*	*n.q*	*n.q*	*n.q*	*55.2%*	*52.9%*	*53.0%*	*53.8%*

Source: Management provided information; KPMG analysis

Appendix 3

Foreign exchange - *Constant currency*

The Company has a limited exposure to foreign exchange because it primarily invoices in USD, ZAR and GBP while their expenses are primarily in ZAR currency.

The Company invoiced \$0.2 million and paid \$0.1 million in expenses in AUD in the TTM Mar-20 period.

Both the GBP and ZAR have depreciated versus the USD in the historical period. On a constant currency basis, the impact to TTM Mar-20 EBITDA is \$23,000.

For the purposes of this analysis, the published spot rates as at May 8th were used (1.244 GBP to USD, 0.054 ZAR to USD and 0.654 AUD to USD).

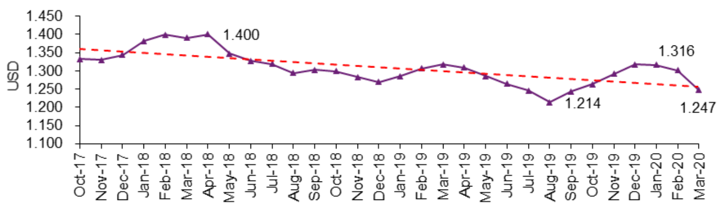
	[A]			[B]			[A] - [B]		
	At historical rates			Constant rate			FX imapct		
\$'000	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**
Revenue	13,541	14,969	14,606	11,928	13,872	13,724	(1,613)	(1,097)	(882)
Cost of sales	(1,387)	(1,539)	(1,666)	(1,293)	(1,443)	(1,626)	94	97	40
Gross margin	**12,154**	**13,430**	**12,940**	**10,635**	**12,429**	**12,098**	**(1,519)**	**(1,000)**	**(842)**
Salaries and wages	(6,427)	(6,760)	(6,788)	(5,155)	(5,811)	(5,931)	1,272	948	857
Opex	(2,677)	(4,945)	(10,504)	(2,126)	(4,805)	(10,364)	551	140	140
Net income	**3,050**	**1,724**	**(4,353)**	**3,354**	**1,812**	**(4,197)**	**304**	**88**	**156**
EBITDA calculation									
Depreciation	(34)	(28)	(24)	(24)	(22)	(20)	10	6	5
Taxes	328	291	317	313	277	302	(15)	(15)	(15)
Amortization	280	248	302	221	204	260	(59)	(44)	(42)
Dividends	834	3,366	8,613	554	3,284	8,532	(280)	(82)	(80)
EBITDA, reported	**4,459**	**5,603**	**4,854**	**4,419**	**5,556**	**4,878**	**(40)**	**(47)**	**23**
Exposure as % of EBITDA							***(0.9%)***	***(0.8%)***	***0.5%***

Source: Management provided information; KPMG analysis

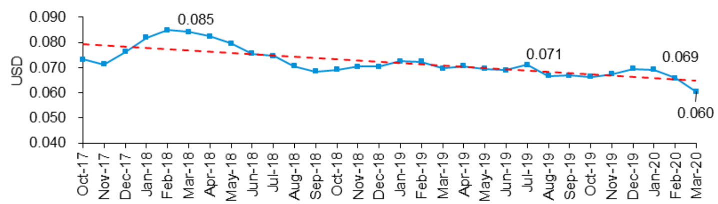
Note: *Due to the change in transaction structure, our analysis is updated to exclude the VARs and SA entities. However, we noted that since May 8th to the date of the current report, no significant changes have occurred in the FX movement (i.e. GBP and USD). Therefore, this analysis reflects the constant currency as at May 8th (the date of our original report)*

Actual rates

GBP/USD



ZAR/USD



Source: Management provided information; published rates, KPMG analysis

Payroll and FTE analysis (1)

Average payroll per employee in UK & Australia and USA are relatively consistent year over year, with slight decline in R&D,SG&A (UK and Australia) and Sales & Marketing (USA) departments.

Headcount analysis | UK & Australia

GBP'000/AUD'000/Euro'000	Payroll FY18	Payroll FY19	Payroll TTM Mar-20	Avg. Headcount FY18	Avg. Headcount FY19	Avg. Headcount TTM Mar-20	Payroll/headcount FY18	Payroll/headcount FY19	Payroll/headcount TTM Mar-20
Professional Services	181.84	181.84	181.84	2.0	2.0	2.0	90.92	90.92	90.92
R&D	122.97	164.23	177.03	1.5	2.0	2.3	81.98	82.11	75.87
Sales & Marketing	199.25	199.25	199.25	3.0	3.0	3.0	66.42	66.42	66.42
SG&A	78.68	65.57	26.23	1.0	0.9	0.4	78.68	74.82	69.69
UK	**582.75**	**610.89**	**584.35**	**7.5**	**7.9**	**7.7**	**77.7**	**77.6**	**75.8**

	FY18	FY19	TTM Mar-20
As per IS	319	596	587
Check	(263)	(14)	3
Variance %	*(82.4%)*	*(2.4%)*	*0.5%*

Headcount analysis | USA

$'000	Payroll FY18	Payroll FY19	Payroll TTM Mar-20	Avg. Headcount FY18	Avg. Headcount FY19	Avg. Headcount TTM Mar-20	Payroll/headcount FY18	Payroll/headcount FY19	Payroll/headcount TTM Mar-20
Professional Services	751.12	630.95	513.15	10.1	9.4	8.2	74.23	67.20	62.41
Sales & Marketing	630.13	551.56	526.84	6.2	5.7	5.8	102.00	97.33	91.62
SG&A	220.32	220.32	220.32	1.0	1.0	1.0	220.32	220.32	220.32
Software Support and Maintenance	201.94	324.86	355.07	3.5	4.7	4.6	57.70	69.61	77.10
USA	**1,803.52**	**1,727.69**	**1,615.38**	**20.8**	**20.7**	**19.6**	**86.72**	**83.37**	**82.51**

	FY18	FY19	TTM Mar-20
As per IS	1,829	1,832	1,756
Check	25	105	140
Variance %	*1.4%*	*5.7%*	*8.0%*

Source: Management provided information

Note: The average payroll per headcount analysis is an indicative analysis and is calculated based on the employee census and terminated employees summary. As at TTM Mar-20, the total variance between the FTE schedule and the TB is approximately USD $0.2 million (2.8%) of total salary expense.

- **R&D**: A web developer (James Cacchioni) moved form South Africa to Ireland in Oct-19 and resigned from the Company in Jan-20. A portion of his compensation is recorded in the UK entity and the remaining is recorded in South Africa where he is originally from. This partial payroll results in the decline in average payroll/headcount
- **SG&A**: The account director (Frank Seggall) was terminated in Aug-19. The Company decided to eliminated this position as it increases focus on the technical side of the operations. His role is subsequently resumed by the technical account directors (Simon Johnston and Grant Shortridge).

- **Sales & Marketing**: The decline in average payroll per headcount is due to the termination of a sales manager (Niru Sahadevan) in Jul-19. Her role is not replaced, however, the Company hired two more junior employees (a sales consultant and an account manager) to resume her role.

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Appendix 4

Payroll and FTE analysis (2)

Average payroll per employee in CS is relatively consistent year over year, with a slight increase in R&D, and decrease in SG&A and Software support & maintenance department.

Headcount analysis | CS

ZAR'000	Payroll FY18	Payroll FY19	Payroll TTM Mar-20	Avg. Headcount FY18	Avg. Headcount FY19	Avg. Headcount TTM Mar-20	Payroll/headcount FY18	Payroll/headcount FY19	Payroll/headcount TTM Mar-20
Professional Services	1,868	4,062	5,177	4.3	10.2	12.9	431	400	401
R&D	11,300	11,828	12,462	10.0	10.4	10.9	1,130	1,135	1,142
Sales & Marketing	4,641	4,961	4,961	7.0	8.0	8.0	663	620	620
SG&A	4,443	4,661	4,842	6.0	7.3	7.9	740	643	612
Software Support and Maintenance	4,406	5,312	6,141	5.7	8.2	10.5	778	650	585
South Africa	**26,659**	**30,825**	**33,583**	**33.0**	**44.0**	**50.3**	**808**	**701**	**668**

	FY18	FY19	TTM Mar-20
As per IS	34,240	31,657	33,268
Check	*7,582*	*833*	*(315)*
Variance%	*22.1%*	*2.6%*	*(0.9%)*

Source: Management provided information

Note: The average payroll per headcount analysis is an indicative analysis and is calculated based on the employee census as at Jun-20. As at TTM Mar-20, the total variance between the FTE schedule and the TB is approximately USD $18,000 (0.9%) of total salary expense.

- **R&D:** A new Head of Development (David James) joined the Company in May-19. This new executive position results in an increase in the average payroll/headcount in this department. Also see the QofE section for an adjustment related to this position.
- **SG&A:** The decrease in average payroll is due to the hiring of a junior staff in Feb-20, resulting in the decrease in average payroll per headcount.
- **Software support & maintenance:** The decrease in average payroll is due to the hiring of two junior staff in Oct-19, resulting in the decrease in average payroll per headcount.

Payroll - US, UK, AUS, CS, Tech and Coop

$'000	FY18	FY19	TTM Mar-20
Salaries - Bonuses	(150)	(355)	(379)
Salaries - Casual Wages	(0)	(0)	(0)
Salaries - Medical aid	(83)	(84)	(82)
Salaries - Provident fund	(302)	(281)	(274)
Salaries - Salaries	(4,368)	(4,640)	(4,617)
Salaries - Workmans Comp	(5)	(2)	(2)
Salaries - Workmans Compensation	(1)	(1)	(0)
Salaries and Wages	**(4,908)**	**(5,363)**	**(5,355)**
Consulting Fees - international	(171)	(207)	(259)
Total salaries and wages	**(5,079)**	**(5,571)**	**(5,613)**
Bonus as % of salaries	*3.3%*	*7.3%*	*7.8%*
Benefits as % salaries	*8.6%*	*7.6%*	*7.3%*

Source: Management provided information

Benefits as % of salaries declined from 8.6% in FY18 to 7.6% FY19, and is relatively consistent in TTM Mar-20 of 7.3%.

Note: The amounts recorded in the Consulting fees international account primarily relates to the salary of the CEO booked in Tech and Coop entity.

Payroll and FTE analysis (3) - Top paid employees by region

Payroll | USA

$'000	Role / Position	FY18	FY19	TTM Mar-20
Mia Papanicolaou	COO	220	220	220
Elizabeth Stephen	VP Customer Engagement	188	188	188
Javier Rivera	VP Operations	-	100	150
Natasha Felski	Project Manager	106	106	106
Samantha Duran	Snr Account Manager	90	90	90
John Cain	System Admin	82	82	82
Alyssa Belmonte	Customer Relationship Manager	79	79	79
Joe Ricciuti	Project Manager	68	68	68
Brandon Wolfgang	Datasource Engineer	67	67	67
Top 10		901	1,001	1,051
Other		903	727	565
USA		**1,804**	**1,728**	**1,615**

Source: Management provided information

Payroll | CS

ZAR'000	Role / Position	FY18	FY19	TTM Mar-20
Nic Ramage	Chief Technology Officer	2,477	2,477	2,477
Jacqui Ramage	Chief Financial Officer	1,806	1,806	1,806
Alison Treadaway	Chief Marketing Officer	1,754	1,754	1,754
Linda Misauer	Head of Global Solutions	1,516	1,516	1,516
Stuart Smith	Software Developer	1,512	1,512	1,512
Lloyd Reijers	Software Developer	1,290	1,290	1,290
David James	Head of Development	-	528	1,161
Chris Groenewald	Software Developer	1,126	1,126	1,126
Johannes Wilke	Software Developer	1,008	1,008	1,008
Gaarieth Creighton	Software Developer	907	907	907
Top 10		13,396	13,924	14,558
Other		13,262	16,901	19,025
CS		**26,659**	**30,825**	**33,583**

Source: Management provided information

Payroll | UK & Australia

GBP'000/AUD'000/Euro'(	Role / Position	FY18	FY19	TTM Mar-20
Shane Seczkowski	Solutions Architect	148	148	148
James Hall	Commercial Director	90	90	90
Zsolt Farkas	Software Developer	41	83	83
Jacques Germishuys	Software Developer	82	82	82
Grant Shortridge	Technical Account Director	58	58	58
Keith Russell	Director AsiaPac	51	51	51
Richard McKechnie	Software Developer	34	34	34
Frank Seggall	Account Director	79	66	26
James Cacchioni	Global Web Developer	-	-	13
UK		**583**	**611**	**584**

Source: Management provided information

Note: Shane Seczkowski is paid in AUD, and Zolt Farkas is paid in Euro. Keith Russell is paid in HKD, however, the amount in the table has been translated to GBP.

Summary income statement

Monthly IS | Consolidated (UK, US, AUS, CS, Tech, COOP)					
$'000	**Acc code**	**FY18**	**FY19**	**TTM Mar-20**	**TTM May-20**
Revenue		10,705	12,172	12,115	12,326
Cost of sales		(556)	(648)	(727)	(746)
Gross profit		**10,149**	**11,524**	**11,389**	**11,580**
Gross margin%		*94.8%*	*94.7%*	*94.0%*	*93.9%*
Payroll		(4,908)	(5,363)	(5,355)	(4,959)
Professional fees		(161)	(122)	(153)	(177)
Rent expense		(116)	(111)	(109)	(104)
Other operating expenses		(549.36)	(898)	(894)	(847)
Operating expenses		(6,024)	(6,496)	(6,510)	(6,087)
Operating profit		**4,125**	**5,029**	**4,879**	**5,493**
Operating profit margin		*38.5%*	*41.3%*	*40.3%*	*44.6%*
Taxes		(289)	(285)	(304)	9,450
Dividends and admin fees		487	(3,020)	(8,289)	(8,328)
Depreciation and amortization		(31)	(28)	(84)	(120)
FX gains/losses		67	162	(8)	(18)
Interests		15	19	18	19
Other income and expenses		249	(3,152)	(8,668)	1,003
Net income		**4,374**	**1,877**	**(3,789)**	**6,496**
Interest		(15)	(19)	(18)	(19)
Taxes		289	285	304	(9,450)
Depreciation		31	28	84	120
Dividends paid		779	3,344	8,594	8,594
EBITDA, reported (ex. dividend)		**5,458**	**5,514**	**5,175**	**5,741**
EBITDA, reported (ex. dividend) %		*51.0%*	*45.3%*	*42.7%*	*46.6%*

Source: Management provided information, KPMG analysis
Note: The Company's consolidated results are presented including Tech and Coop, which are outside of transaction perimeter. Figures related to these entities are subsequently excluded from EBITDA through diligence adjustments.

Income statement

- The adjacent reported income statement includes the following:
  - **Revenue:** Is primarily comprised of:
    i. License and SaaS revenues: recurring fees related to managed, hosting and support services.
    ii. Professional fees: Set-up and various professional services fees related to campaigns, change orders etc.
  - **Cost of sales:** Direct expenses (e.g. bandwidth, server, etc.) to perform the services to clients.
  - **Payroll:** Includes salaries, benefits and bonus expense of the Company's employees across all entities.
  - **Professional fees:** Comprised of legal, accounting and audit fees.
  - **Rent:** Includes rent expenses related to the Company's offices across UK, US and South Africa.
  - **Other operating expenses:** Include marketing, computer, administrative and utilities and other operating expenses.

Appendix 5

Summary balance sheet

Balance sheet - combined (UK, US, AUS and CS)				
	As at			
$'000	30-Sep-18	30-Sep-19	31-Mar-20	31-May-20
Assets				
Cash and cash equivalents	2,466	2,201	1,469	2,459
Trade debtors	3,310	4,474	3,010	2,411
Other receivables	30	27	61	50
Current assets	5,807	6,702	4,540	4,919
Non-current assets	3,273	2,986	2,477	2,527
Total assets	**9,080**	**9,687**	**7,017**	**7,447**
Liabilities and shareholders' equity				
Trade creditors	(93)	(69)	(65)	(16)
Other payables	(209)	(263)	(316)	(239)
Taxation payable	(74)	(88)	(65)	(70)
Current liability	(375)	(419)	(446)	(325)
Non-current liabilities	(3,387)	(3,733)	(2,783)	(2,924)
Total liabilities	**(3,762)**	**(4,153)**	**(3,230)**	**(3,249)**
Shareholders' equity	(5,318)	(5,535)	(3,788)	(4,198)
Total liabilities and shareholders' equity	**(9,080)**	**(9,687)**	**(7,017)**	**(7,447)**

Source: Management provided information, KPMG analysis
Note1: The balance sheet is presented on a combined basis and excludes entities not included within the transaction perimeter.

Balance sheet

- The adjacent reported balance sheet includes the following:
  - **Trade debtors:** Is comprised of:
    1. Trade AR: Third party AR with payment terms between 30 to 60 days.
    2. Intercompany AR: Includes intercompany AR between the entities related to license, admin and other support fees.
  - **Other receivables:** Includes prepaid expenses related to insurance, rent, software and other operating items.
  - **Non-current assets:** Includes investment and loan in subsidiaries, goodwill and fixed assets (e.g. computers, furniture and office equipment)
  - **Trade creditors:** Primarily consists of amounts owing to vendors and intercompany balances.
  - **Other payables:** Primarily comprised of VAT payable

Appendix 6

Revenue reconciliation

The adjacent table represents the reconciliation of revenue reported per the income statement against the sales database.

Revenue reconciliation

	[A]			[B]			[A]-[B]		
	Income statement			Per sales database			Variance		
$'000	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**	**FY18**	**FY19**	**TTM Mar-20**
SaaS	5,641	6,555	6,967	5,648	6,611	6,914	(7)	(56)	53
Professional services	3,180	3,965	3,703	2,519	3,095	2,688	661	870	1,015
Hosting	-	-	-	657	801	1,026	(657)	(801)	(1,026)
Other	5	39	113	3	51	154	2	(13)	(41)
US, UK and AUS	8,827	10,558	10,783	8,826	10,558	10,782	0	0	1
Group licensing reveue	1,879	1,614	1,333						
Revenue, reported	**10,705**	**12,172**	**12,115**						

Source: Management provided information

Management represents that the revenue GL accounts have not been used consistently over the historical period, which explains the offsetting variances between the highlighted amounts.

Overall, the variance in the TTM Mar-20 period is 0% of revenue reported.

Appendix 7

Annualized recurring revenue adjustment

This illustration reflects the supporting analysis for the annualized recurring revenue adj. The annualized recurring revenue is estimated $12.8 million per annum based on the Jan-20 to Mar-20 reported results. Non-recurring revenue decreased from $2.5 million in FY18 to 1.7 million in TTM Mar-20.

Adjustment calculation

	Recurring (UK, US, AUS)						Revenue pro forma adj. (UK, US, AUS)			Non-recurring revenue			Recurring revenue			Variance		
						[A]	[B]			[C]			[D] = [A] - [B]			[A] - [D]		
$'000	SaaS	PS	Hosting	Other	Total	Annualized	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Jan-20	654	107	64	3	828	9,939	8,722	10,281	10,616	1,437	1,364	1,078	7,285	8,917	9,538	2,654	1,022	401
Feb-20	613	230	75	3	922	11,059	8,722	10,281	10,616	1,437	1,364	1,078	7,285	8,917	9,538	3,774	2,142	1,521
Mar-20	603	141	137	3	883	10,593	8,722	10,281	10,616	1,437	1,364	1,078	7,285	8,917	9,538	3,308	1,676	1,055
Jan-20 - Feb-20 avg.	634	169	70	3	875	10,499	8,722	10,281	10,616	1,437	1,364	1,078	7,285	8,917	9,538	3,214	1,582	961
Jan-20 - Mar-20 avg.	**624**	**159**	**92**	**3**	**878**	**10,530**	**8,722**	**10,281**	**10,616**	**1,437**	**1,364**	**1,078**	**7,285**	**8,917**	**9,538**	**3,245**	**1,613**	**992**
Oct-19 - Mar-20 avg.	589	137	87	14	827	9,926	8,722	10,281	10,616	1,437	1,364	1,078	7,285	8,917	9,538	2,641	1,009	388

The adjustment annualizes the historical recurring revenue using the most recent revenue trends (i.e. levels and customer mix) of the UK, US and AUS regions.

The Jan-20 to Mar-20 recurring revenue average was used as a benchmark to estimate the adjusted levels of recurring revenue, as illustrated in the "Adjustment calculation" table (i.e. at $10.5 million of recurring revenue annually).

Note that the non-recurring revenue (presented in column [C] above) was higher in FY18 compared to TTM Mar-20 (i.e. it decreased from $1.4 million in FY18 to $1.1 million in TTM Mar-20).

As a result, the adjusted FY18 revenue is higher than TTM Mar-20 due to the higher non-recurring revenue in this period compared to TTM Mar-20 (and the recurring revenue being the same at $10.5 million per annum, historically). See the table below for the illustration of the pro forma adjusted recurring vs. non-recurring revenue.

***Note**: The South African operating entities ("VARs") are excluded from the transaction perimeter. Post transaction, client receives license revenues related to the South African region through the CS entity. This analysis is based on the sales database and focuses only on the US, UK and Australia. See appendix 6 for the reconciliation between sales database and revenue per TB.*

Pro forma revenue breakdown

$'000	FY18	FY19	TTM Mar-20
Recurring revenue, pro forma, adj.	10,530	10,530	10,530
Non, recurring revenue, pro forma adj.	1,437	1,364	1,078
Group licensing revenue, pro forma adj.	1,086	1,311	1,221
Revenue, pro forma adj.	**13,053**	**13,206**	**12,829**

Appendix 8

Foreign currency impact to revenue

The illustration below reflects the change in revenue year over year and bifurcates the foreign currency versus source currency impact to revenue. Revenue increased $0.2 million from FY19 to TTM Mar-20 (increase of $0.5 in recurring revenue and decrease $0.3 in non-recurring source currency).

Recurring revenue (reported)

	[A]			[C] = [A] / [B]			[B]					YoY change comprised of			
	Source currency			FX rates			USD (converted)			YoY change		Source currency		FX	
'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19
UK	2,359	3,734	4,024	1.347	1.274	1.273	3,178	4,758	5,122	1,580	364	1,852	369	(271)	(6)
US	4,096	4,311	4,495	1.000	1.000	1.000	4,096	4,311	4,495	215	185	215	185	-	-
AUS	152	179	128	0.762	0.696	0.683	115	125	88	9	(37)	21	(36)	(12)	(2)
Total	6,607	8,224	8,647	3.109	2.970	2.956	7,389	9,194	9,705	1,804	511	2,088	518	(283)	(7)
VAR	47,676	53,829	47,811	0.077	0.070	0.068	3,673	3,764	3,240	90	(524)	474	(421)	(384)	(103)
Total	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	**11,063**	**12,957**	**12,945**	**1,895**	**(13)**	**2,562**	**98**	**(667)**	**(110)**

Non-recurring revenue (reported)

	[A]			[C] = [A] / [B]			[B]					YoY change comprised of			
	Source currency			FX rates			USD (converted)			YoY change		Source currency		FX	
'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19
UK	199	391	384	1.368	1.283	1.277	272	501	491	229	(10)	263	(8)	(33)	(2)
US	1,125	832	571	1.000	1.000	1.000	1,125	832	571	(293)	(261)	(293)	(261)	-	-
AUS	54	45	24	0.751	0.699	0.684	40	32	16	(9)	(16)	(6)	(15)	(2)	(0)
Total	1,377	1,268	979	3.119	2.982	2.962	1,437	1,364	1,078	(73)	(287)	(37)	(284)	(36)	(2)
VAR	14,062	9,707	9,461	0.076	0.070	0.068	1,069	677	643	(392)	(33)	(331)	(17)	(61)	(16)
Total	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	**2,506**	**2,041**	**1,721**	**(465)**	**(320)**	**(368)**	**(301)**	**(97)**	**(18)**

Total revenue (reported)

	[A]			[C] = [A] / [B]			[B]					YoY change comprised of			
	Source currency			FX rates			USD (converted)			YoY change		Source currency		FX	
'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19	FY19 / FY18	TTM Mar-20 /FY19
UK	2,558	4,125	4,408	1.349	1.275	1.273	3,450	5,259	5,613	1,810	353	2,113	361	(303)	(8)
US	5,221	5,142	5,066	1.000	1.000	1.000	5,221	5,142	5,066	(79)	(76)	(79)	(76)	-	-
AUS	205	225	152	0.759	0.697	0.684	156	156	104	1	(53)	15	(51)	(14)	(2)
Total	7,984	9,491	9,626	3.108	2.972	2.957	8,826	10,558	10,782	1,732	224	2,049	234	(317)	(10)
VAR	61,738	63,536	57,272	0.077	0.070	0.068	4,742	4,440	3,884	(302)	(557)	138	(438)	(440)	(119)
Total	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	***n.q.***	**13,568**	**14,998**	**14,666**	**1,430**	**(332)**	**2,187**	**(203)**	**(757)**	**(129)**

Source: Management provided information, KPMG analysis

Note: *Due to the change in transaction structure, our analysis is updated to exclude the VARs and SA entities. However, we noted that since May 8th to the date of the current report, no significant changes have occurred in the FX movement (i.e. GBP and USD). Therefore, this analysis reflects the constant currency as at May 8th (the date of our original report)*

Appendix 9

VARs & SA license fees

VARs & SA license fees

$'000	FY18	FY19	TTM Mar-20	TTM May-20
eBilling - License fees	(3)	-	-	434
eBilling - SaaS fees	769	763	824	369
eMarketing - Licenses fees	1	8	-	280
eMarketing - SaaS fees	982	918	652	286
License fees	1,748	1,689	1,476	1,369
License fee cost	(1,628)	(1,351)	(1,180)	(1,096)
License fee margin	**120**	**339**	**296**	**273**
License fee margin%	*6.9%*	*20.0%*	*20.1%*	*19.9%*
eMarketing - Message delivery	292	122	74	75
eBilling - Message delivery	148	19	15	15
eBilling SDR - SaaS fee	22	52	46	46
eMarketing SDR - SaaS fees	45	31	9	0
Other SaaS fees revenue excluded	507	223	144	137
Total VARs SaaS revenue	2,256	1,913	1,620	1,506

Source: Management provided information, KPMG analysis

Note1: The adjacent table illustrates the markup charged by the VARs to the end customer as compared to the license fee cost paid to CS. Management represents that certain SaaS revenue stream are excluded from the calculation namely message delivery and SDR related SaaS fees. This is in line with the commercial agreements between CS and its VARs. CS has four separate agreements with each of the VARs (i.e., Messaging, Marketing, Documents and Commercial) governing the monthly license fee payments made to CS. This revenue to CS (i.e. cost to the VARs) reflects 80% of the certain license fee charged to the end customer (excluding message delivery and SDR fees).

Note2: Historically, the Company does not have a consistent account mapping to record certain revenue streams i.e. "ebilling – Message delivery" contains other items in FY18, hence the larger balance as compared to the subsequent periods. Excluding FY18, the calculation is in line with the commercial agreements.

Revenue (1) - Overview

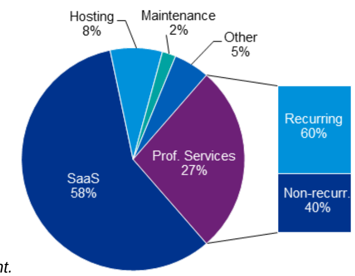
The adjacent table presents the segregation of revenue by type (i.e. recurring vs. non-recurring). Note that SaaS fees comprise 58.1% of total revenue in TTM Mar-20 and the mix has been stable over the historical period.

Revenue by type

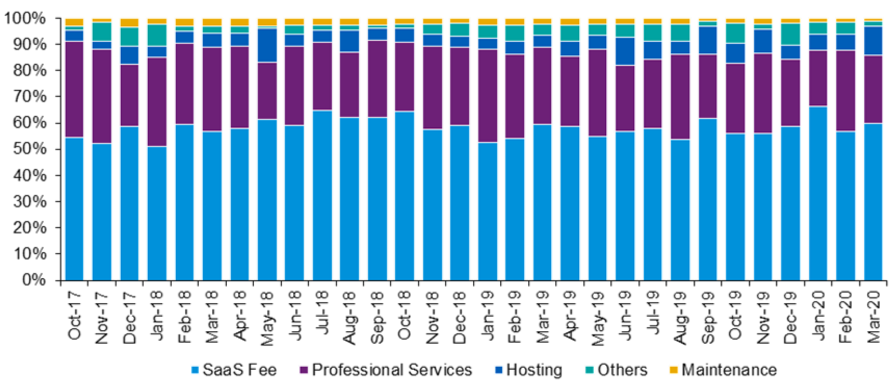
	[A]			[B]			[A]+[B]					
	Recurring			Non-recurring			Total			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
SaaS	7,885	8,635	8,519	-	-	-	7,885	8,635	8,519	*58.1%*	*57.6%*	*58.1%*
Professional Services	1,564	2,474	2,388	2,490	1,925	1,601	4,053	4,398	3,989	*29.9%*	*29.3%*	*27.2%*
Hosting	764	910	1,107	-	-	-	764	910	1,107	*5.6%*	*6.1%*	*7.5%*
Maintenance	377	339	289	-	-	-	377	339	289	*2.8%*	*2.3%*	*2.0%*
Other	473	600	641	16	116	120	489	716	761	*3.6%*	*4.8%*	*5.2%*
Total	**11,063**	**12,957**	**12,945**	**2,506**	**2,041**	**1,721**	**13,568**	**14,998**	**14,666**	***100.0%***	***100.0%***	***100.0%***

Source: Management provided information; KPMG analysis
Note: The table presents the reported results based on the time of billing. Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement.

Revenue composition TTM Mar-20



Revenue streams
(month over month fluctuations)



Source: Management provided information; KPMG analysis

Revenue streams

- SaaS fees: Volume based fee for the use of the software. Charges can be measured with 'credits' that relate to the level of sophistication of the output. The greater the complexity and number of elements included in a message the greater the number of credits needed per message. This allows for a contract to be agreed upfront and then the cost of a message to increase as the client adds extra elements to the process and output.
- Professional services: The second largest revenue stream is professional services, which can be recurring and non-recurring in nature.
  - Recurring professional services: Primarily related to template change requests for existing documents.
  - Non-recurring professional services: Ad-hoc services related to campaign set-up, etc. and are billed on a time and materials basis.
- Hosting: Related to hosting services and associated people costs (security, monitoring, maintenance, etc.).
- Maintenance: Consists of software annual maintenance fees. Currently the Company has changed the contract structure (for new contracts) to incorporate the maintenance fees with the SaaS fees.
- Other: Primarily comprised of pass-through revenue related to 3rd party costs. Management has indicated that margin varies for each client.

KPMG

Appendix 10 - Financial performance (including VARs)

Revenue (2) - Recurring revenue overview

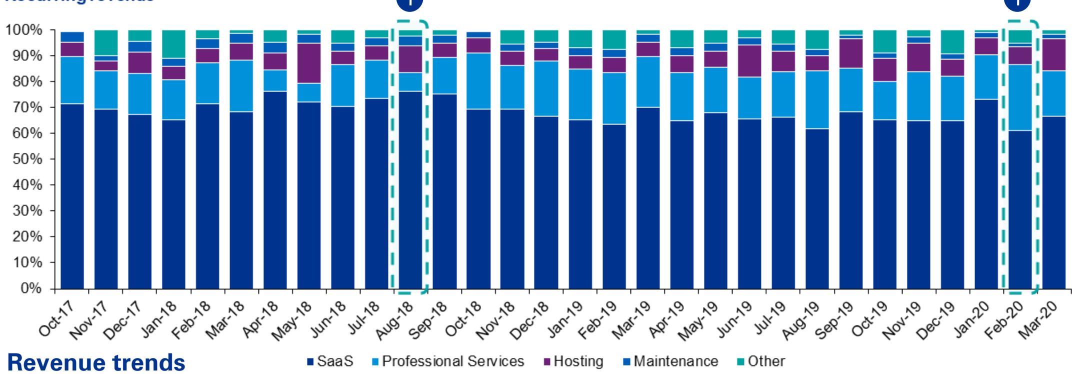
The analysis below presents the recurring revenue buckets. SaaS fees represent 65.8% of total recurring revenue in TTM Mar-20. SaaS fees increased from $7.9 million in FY18 to $8.5 million in TTM Mar-20 with a steady increase year over year (refer to the seasonality of SaaS fees illustration below).

Recurring revenue

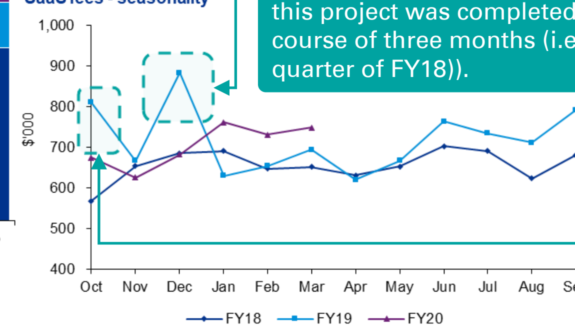
	A			B			C			D			E			F=A+B+C+D+E					
	SaaS Fee			Professional Services			Hosting			Maintenance			Other			Recurring revenue			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Amalgamated Banks of South Africa	1,095	1,389	1,489	285	322	309	195	316	450	141	134	80	5	1	52	1,721	2,162	2,381	*15.6%*	*16.7%*	*18.4%*
National Grid	961	1,099	1,239	12	-	-	-	-	-	-	-	-	-	-	-	973	1,099	1,239	*8.8%*	*8.5%*	*9.6%*
Santander UK	88	414	549	44	542	455	58	136	199	-	-	-	-	-	0	190	1,092	1,203	*1.7%*	*8.4%*	*9.3%*
First National Bank	796	737	360	48	42	35	16	14	11	-	-	-	338	401	389	1,199	1,193	795	*10.8%*	*9.2%*	*6.1%*
Paragon Customer Communications	534	515	531	28	29	44	47	73	66	-	-	-	-	-	6	609	616	647	*5.5%*	*4.8%*	*5.0%*
CHEP	186	370	288	62	59	105	114	89	142	-	-	-	-	-	-	363	517	536	*3.3%*	*4.0%*	*4.1%*
Southern Company Gas	294	334	385	63	145	95	-	-	-	-	-	-	-	-	-	356	479	479	*3.2%*	*3.7%*	*3.7%*
Nedbank	388	252	253	45	61	94	0	2	1	87	70	75	-	-	-	521	384	423	*4.7%*	*3.0%*	*3.3%*
Communisis	-	281	264	-	62	71	-	31	30	-	-	-	-	-	6	-	374	371	*-*	*2.9%*	*2.9%*
Suez	238	253	229	-	-	-	-	-	-	-	-	-	-	-	-	238	253	229	*2.2%*	*1.9%*	*1.8%*
Top 10	**4,581**	**5,644**	**5,587**	**588**	**1,260**	**1,208**	**431**	**661**	**900**	**228**	**204**	**154**	**343**	**401**	**453**	**6,170**	**8,170**	**8,302**	***55.8%***	***63.1%***	***64.1%***
Others (135)	3,304	2,991	2,933	973	1,228	1,225	333	248	207	149	135	134	133	184	144	4,892	4,787	4,643	*44.2%*	*36.9%*	*35.9%*
Total	**7,885**	**8,635**	**8,519**	**1,561**	**2,488**	**2,432**	**764**	**910**	**1,107**	**377**	**339**	**289**	**476**	**585**	**597**	**11,063**	**12,957**	**12,945**	***100.0%***	***100.0%***	***100.0%***
As a % of total	*71.3%*	*66.6%*	*65.8%*	*14.1%*	*19.2%*	*18.8%*	*6.9%*	*7.0%*	*8.6%*	*3.4%*	*2.6%*	*2.2%*	*4.3%*	*4.5%*	*4.6%*	*100.0%*	*100.0%*	*100.0%*	*n.q.*	*n.q.*	*n.q.*

Source: Management provided information; KPMG analysis Note: Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement. The table presents the reported results based on the time of billing.

Recurring revenue



SaaS fees - seasonality



Related a campaign ran in Dec-18 for First National Bank. These fees are recurring in nature (in the prior year, this project was completed over the course of three months (i.e., first quarter of FY18)).

Related to a $145,000 upfront payment from Communisis in Oct-18 related to work completed in FY19. See QofE section for further discussion.

Revenue trends

1 Historically, the largest revenue stream for the Company has been SaaS fees ranging from 61.2% (in Feb-20) to 76.1% (in Aug-18) of recurring revenue.

– SaaS fees increased from $7.9 million in FY18 to $8.5 million in TTM Mar-20, this was primarily related to a new client in FY18 (Santander) in the UK region, which generated $0.1 million in FY18 and $0.6 million in TTM Mar-20.

– Recurring professional services increased by $0.8 million from FY18 to TTM Mar-20. Non-recurring professional services decreased by $0.9 million over the same period.

Revenue (3) - Non-recurring revenue overview

The illustration below presents the composition of non-recurring revenue by type. Professional services non-recurring services decreased from $2.5 million in FY18 to $1.6 million in TTM Mar-19.

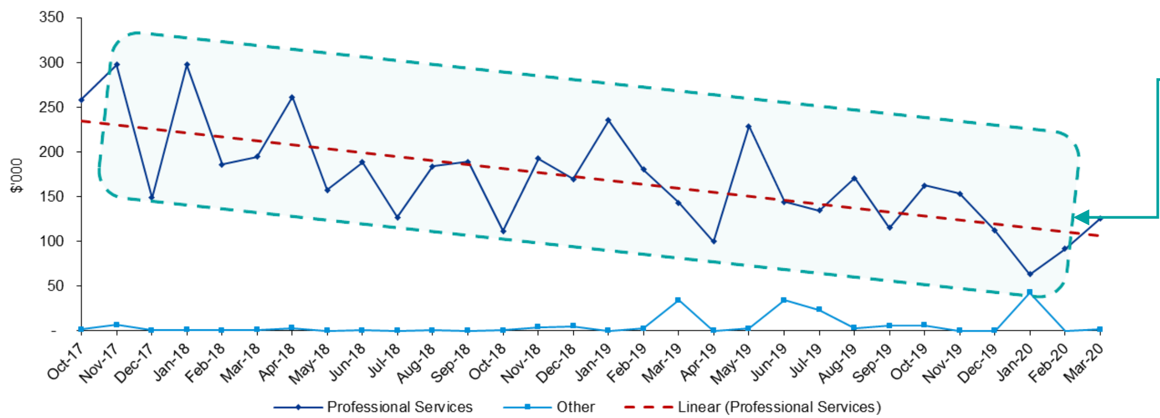
Non-recurring revenue

	A			B			C=A+B					
	Professional Services			Others			Non- Recurring revenue			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Amalgamated Banks of South Africa	245	182	290	6	-	1	251	182	292	*10.0%*	*8.9%*	*16.9%*
National Grid	85	132	48	-	-	-	85	132	48	*3.4%*	*6.4%*	*2.8%*
Santander UK	96	-	-	-	24	33	96	24	33	*3.8%*	*1.2%*	*1.9%*
First National Bank	227	201	177	-	65	70	227	265	247	*9.0%*	*13.0%*	*14.3%*
Paragon Customer Communications	30	6	(1)	-	6	6	30	12	5	*1.2%*	*0.6%*	*0.3%*
CHEP	62	186	41	-	-	-	62	186	41	*2.5%*	*9.1%*	*2.4%*
Southern Company Gas	-	-	33	-	-	-	-	-	33	*-*	*-*	*1.9%*
Nedbank	127	73	48	2	4	-	129	77	48	*5.1%*	*3.8%*	*2.8%*
Communisis	-	22	43	-	5	5	-	27	48	*-*	*1.3%*	*2.8%*
Suez	90	95	96	-	-	-	90	95	96	*3.6%*	*4.7%*	*5.6%*
Top 10	**961**	**897**	**775**	**8**	**104**	**115**	**969**	**1,000**	**890**	***38.7%***	***49.0%***	***51.7%***
Others (135)	1,529	1,028	826	8	12	5	1,537	1,041	831	*61.3%*	*51.0%*	*48.3%*
Total	**2,490**	**1,925**	**1,601**	**16**	**116**	**120**	**2,506**	**2,041**	**1,721**	***100.0%***	***100.0%***	***100.0%***
As a % of total	*99.4%*	*94.3%*	*93.0%*	*0.6%*	*5.7%*	*7.0%*	*100.0%*	*100.0%*	*100.0%*	*n.q.*	*n.q.*	*n.q.*

Source: Management provided information; KPMG analysis

Note: Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement. The table presents the reported results based on the time of billing.

Non-recurring revenue



Non-recurring professional services reflect a decreasing trend over the historical period.

Non-recurring revenue streams

- Professional services: These are charges for the non-recurring professional services that are based on quoted amounts related to the time and materials spent on the project.
- Other: Amounts that are not classified under any of the other categories.

Revenue (4) - *by customer (top ten customers)*

The illustration below presents the composition of revenue by customer and type (i.e. recurring vs. non-recurring). Top ten customers consisted of 62.7% of total revenue in TTM Mar-20. Refer to the next slides for detailed discussion on the top ten customers.

Recurring vs Non recurring revenue

	A			B			C=A+B					
	Recurring revenue			Non- Recurring revenue			Total revenue			As a % of total		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
1 Amalgamated Banks of South Africa	1,721	2,162	2,381	251	182	292	1,972	2,344	2,672	*14.5%*	*15.6%*	*18.2%*
National Grid	973	1,099	1,239	85	132	48	1,058	1,231	1,288	*7.8%*	*8.2%*	*8.8%*
Santander UK	190	1,092	1,203	96	24	33	286	1,117	1,235	*2.1%*	*7.4%*	*8.4%*
2 First National Bank	1,199	1,193	795	227	265	247	1,426	1,459	1,042	*10.5%*	*9.7%*	*7.1%*
Paragon Customer Communications	609	616	647	30	12	5	639	628	652	*4.7%*	*4.2%*	*4.4%*
CHEP	363	517	536	62	186	41	425	703	576	*3.1%*	*4.7%*	*3.9%*
Southern Company Gas	356	479	479	-	-	33	356	479	512	*2.6%*	*3.2%*	*3.5%*
Nedbank	521	384	423	129	77	48	649	461	471	*4.8%*	*3.1%*	*3.2%*
Communisis	-	374	371	-	27	48	-	401	419	*-*	*2.7%*	*2.9%*
Suez	238	253	229	90	95	96	328	348	325	*2.4%*	*2.3%*	*2.2%*
3 **Top 10**	**6,170**	**8,170**	**8,302**	**969**	**1,000**	**890**	**7,139**	**9,171**	**9,192**	***52.6%***	***61.1%***	***62.7%***
Others (135)	4,892	4,787	4,643	1,537	1,041	831	6,429	5,828	5,474	*47.4%*	*38.9%*	*37.3%*
Total	**11,063**	**12,957**	**12,945**	**2,506**	**2,041**	**1,721**	**13,568**	**14,998**	**14,666**	***100.0%***	***100.0%***	***100.0%***
As a % of total	*81.5%*	*86.4%*	*88.3%*	*18.5%*	*13.6%*	*11.7%*	*100.0%*	*100.0%*	*100.0%*			

Source: Management provided information; KPMG analysis

Note: Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement. The table presents the reported results based on the time of billing.

Contract terms

– Customer contract with Santander will expire in Oct-20, Paragon in Jan-21, ABSA in Mar-22, Southern Gas Company in Dec-20 and Communisis in Dec-20. The contract with National Grid has an autorenewal term which restarts every April. Please refer to appendix 5 for more detail on the contract terms and renewal options.

1 Includes the "ABS" account codes and the former Barclays codes (i.e. "BAR005 to BAR021) that are rebranded under the Amalgamated Banks of South Africa account.

Note that prior to the "BAR005-BAR021" codes being classified under ABSA, Barclays appeared within the top ten customer list. After the rebranding of these codes, Barclays appears as the 17th largest client with $0.2 million revenue in TTM Mar-20.

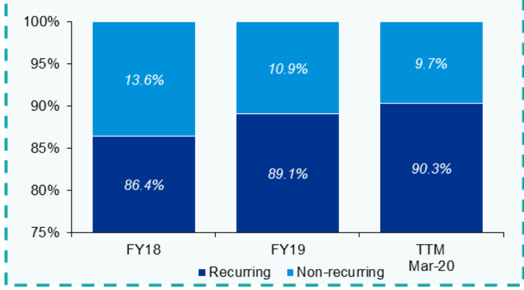
2 Includes "FIR", "FNB" and "EBU" account codes.

3 Top ten customers consisted of 52.6% of total revenue in FY18 (or $7.1 million) of which 86.4% ($6.1 million) was recurring and 13.6% ($1 million) non-recurring.

In TTM Mar-20 top ten customers consisted of 62.7% of total revenue in FY18 ($9.2 million) of which 90.3% ($8.3 million) was recurring and 9.7% ($0.9 million) non-recurring.

This indicates that the Company has increased its recurring revenue from the top ten clients over the historical period.

3 **Recurring vs. non-recurring (top ten clients)**

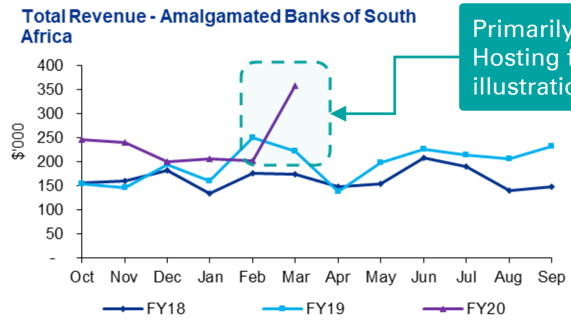


Revenue (5) - *top ten (1) - Amalgamated Banks of South Africa* - UK

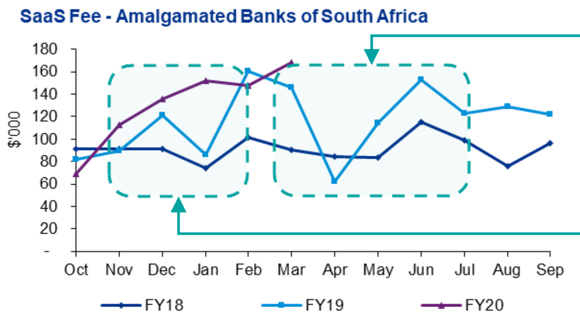
Amalgamated Banks of South Africa (ABSA) represented 18.2% of total revenue (reported) in TTM Mar-20. Divisions BAR005 – BAR021 (formerly Barclays) were rebranded under ABSA in FY20. The illustration below includes the rebranded divisions. The Client contract with ABSA expires in Mar-22.

Amalgamated Banks of South Africa

$'000	FY18	FY19	TTM Mar-20
SaaS Fee	1,095	1,389	1,489
PS (recurring)	285	322	309
Hosting	195	316	450
Maintenance	141	134	80
Other	5	1	52
Recurring	1,721	2,162	2,381
PS (non-recurring)	245	182	290
Other	6	-	1
Non-recurring	251	182	292
Total	**1,972**	**2,344**	**2,672**

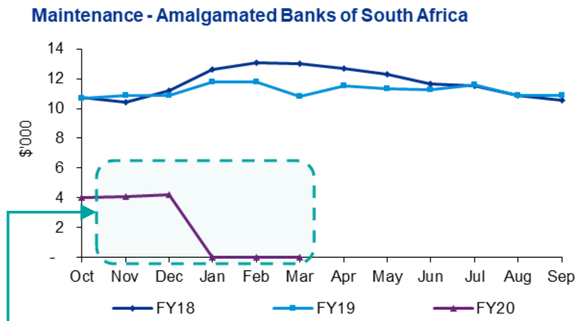


Primarily due to advance billing for Hosting fees (see Hosting fees illustration below).

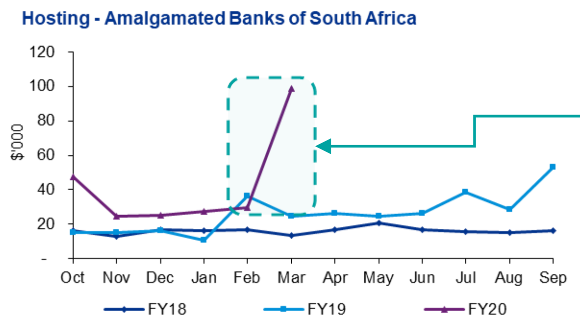


Due to the hit of a new tier in Mar-19. This is normalized as part of the QofE potential adjustment #1.

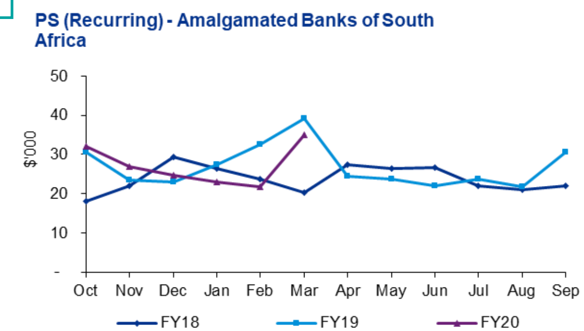
Due to increased messaging volumes in YTD Mar-20 due to the COVID-19 pandemic.



Maintenance fees were discounted after Jan-19 due to decommissioned software.



Related to advance billing in Mar-20. This is normalized as part of the QofE potential adjustment #1.



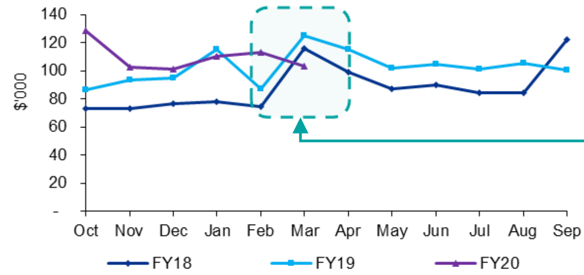
Source: Management provided information; KPMG analysis

Revenue (6) - top ten (2) - National Grid - US

National Grid represented 8.8% of total revenue (reported) in TTM Mar-20. This client is in the process of transitioning notifications from paper to digital, which explains the steady increase in SaaS fees year over year. The Company has an auto renewal contract with National Grid.

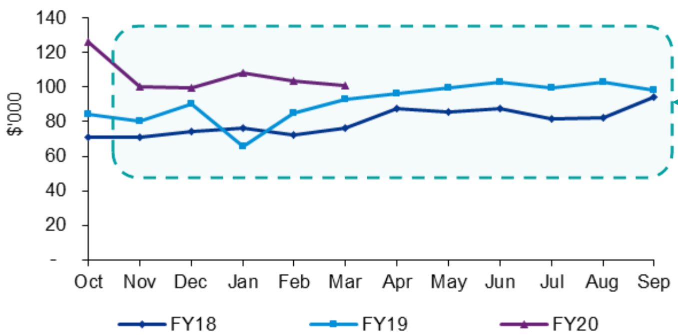
National Grid			
			TTM
$'000	**FY18**	**FY19**	**Mar-20**
SaaS Fee	961	1,099	1,239
PS (recurring)	12	-	-
Hosting	-	-	-
Maintenance	-	-	-
Other	-	-	-
Recurring	973	1,099	1,239
PS (non-recurring)	85	132	48
Other	-	-	-
Non-recurring	85	132	48
Total	**1,058**	**1,231**	**1,288**

Total Revenue - National Grid



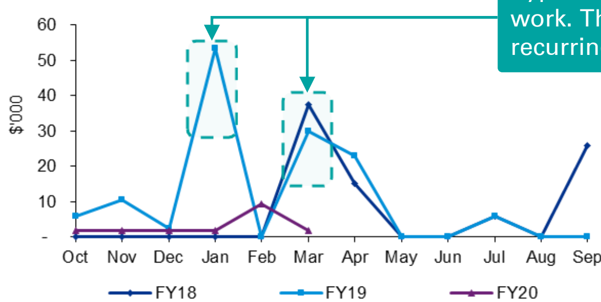
Due non-recurring professional services e.g. change requests. Refer to the illustration below.

SaaS Fee - National Grid



Overall increasing trend as the Client transitions from paper notifications to digital.

PS (Non-recurring) - National Grid



Typically one-month change request work. These requests are not recurring in nature.

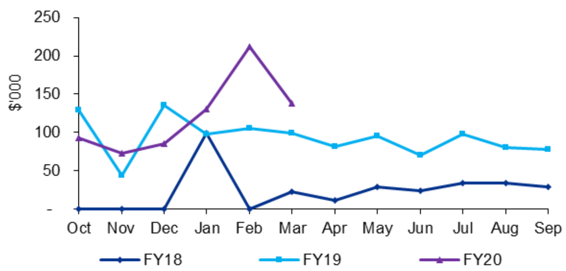
Source: Management provided information; KPMG analysis

Revenue (7) - *top ten (3)* - *Santander UK - UK*

Santander (UK) represented 8.4% of total revenue (reported) in TTM Mar-20.

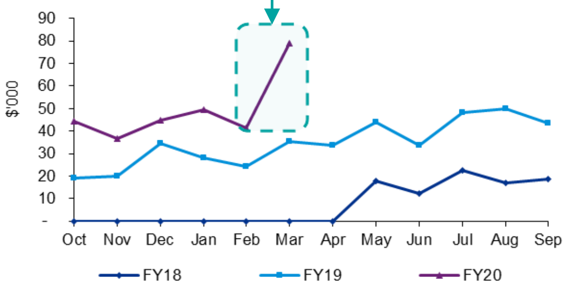
Santander UK			
$'000	FY18	FY19	TTM Mar-20
SaaS Fee	88	414	549
PS (recurring)	44	542	455
Hosting	58	136	199
Maintenance	-	-	-
Other	-	-	0
Recurring	190	1,092	1,203
PS (non-recurring)	96	-	-
Other	-	24	33
Non-recurring	96	24	33
Total	**286**	**1,117**	**1,235**

Total Revenue - Santander UK

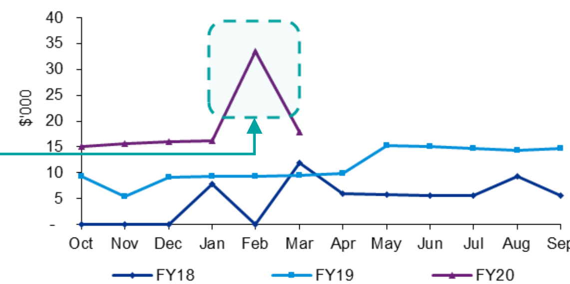


Related to campaign in Dec-18. This is recurring work. In FY18, this campaign was ran over the course of three months (Nov-17 to Jan-18.

SaaS Fee - Santander UK



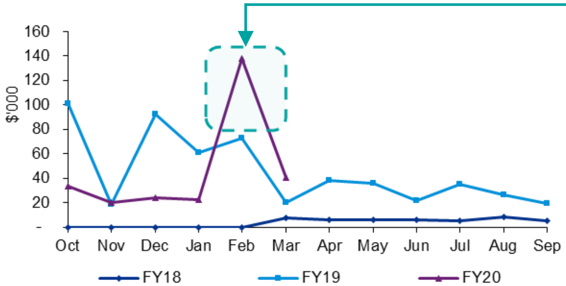
Hosting - Santander UK



Due to changing all the templates from old providers to Striata.

Back billing related to the prior six months.

PS (Recurring) - Santander UK



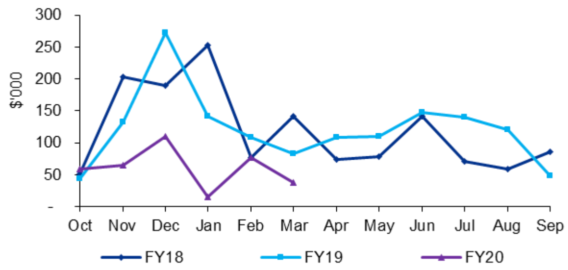
Source: Management provided information; KPMG analysis

Revenue (8) - *top ten (4) - First National Bank - SA*

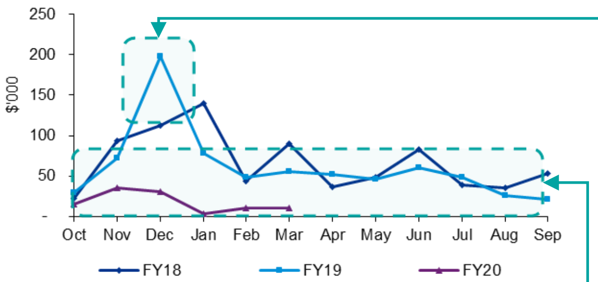
First National Bank (FNB) represented 7.1% of total revenue (reported) in TTM Mar-20.

First National Bank			
			TTM
$'000	**FY18**	**FY19**	**Mar-20**
SaaS Fee	796	737	360
PS (recurring)	48	42	35
Hosting	16	14	11
Maintenance	-	-	-
Other	338	401	389
Recurring	1,199	1,193	795
PS (non-recurring)	227	201	177
Other	-	65	70
Non-recurring	227	265	247
Total	**1,426**	**1,459**	**1,042**

Total Revenue - First National Bank



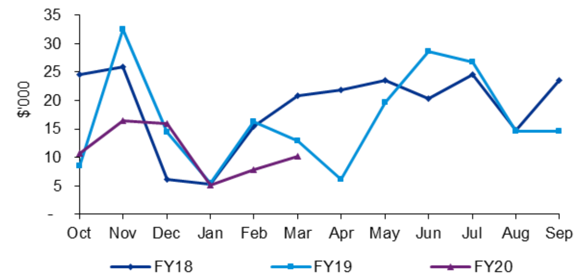
SaaS Fee - First National Bank



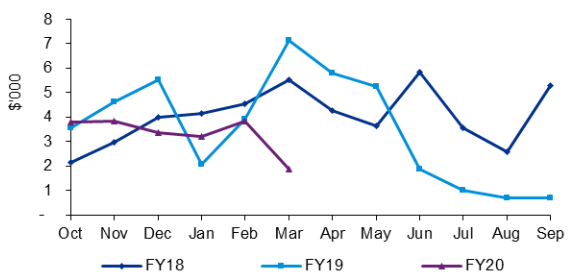
Related to campaign in Dec-18. This is recurring work. In FY18, this campaign was ran over the course of three months (Nov-17 to Jan-18.

Overall decreasing trend due to FNB transitioning notifications via internal application.

PS (Non-recurring) - First National Bank



PS (Recurring) - First National Bank



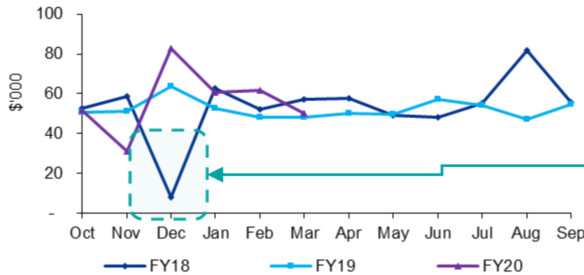
Source: Management provided information; KPMG analysis

Revenue (9) - top ten (5) - Paragon - UK

Paragon represented 4.4% of total revenue (reported) in TTM Mar-20.

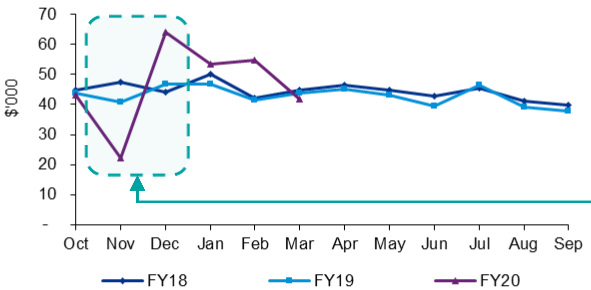
Paragon			
$'000	FY18	FY19	TTM Mar-20
SaaS Fee	534	515	531
PS (recurring)	28	29	44
Hosting	47	73	66
Maintenance	-	-	-
Other	-	-	6
Recurring	609	616	647
PS (non-recurring)	30	6	(1)
Other	-	6	6
Non-recurring	30	12	5
Total	**639**	**628**	**652**

Total Revenue - Paragon Customer Communications



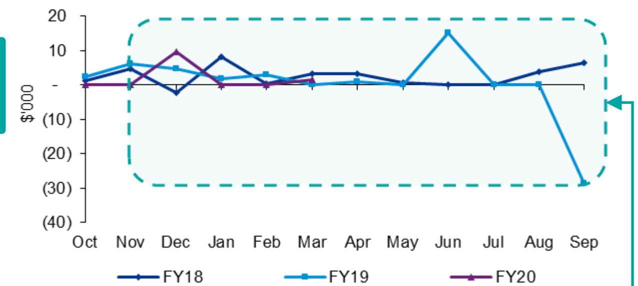
Primarily related to the SaaS fees. See the illustration below.

SaaS Fee - Paragon Customer Communications

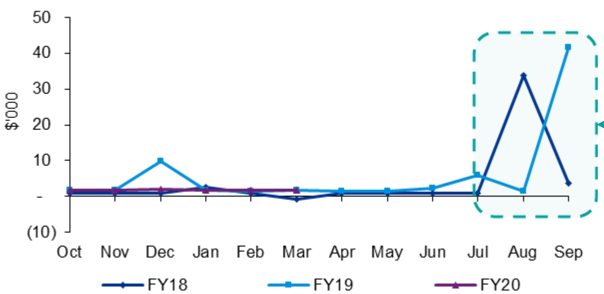


Related to back bling in Dec-19 related to Nov-19.

PS (Non-recurring) - Paragon Customer Communications



Hosting - Paragon Customer Communications



Related to annual hosting fees.

Related to a credit that is collected within the reporting period.

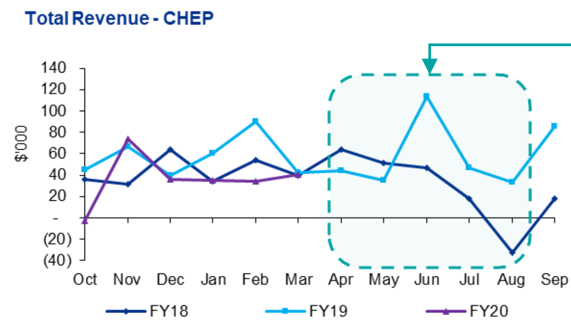
Source: Management provided information; KPMG analysis

Appendix 10 - Financial performance (including VARs)

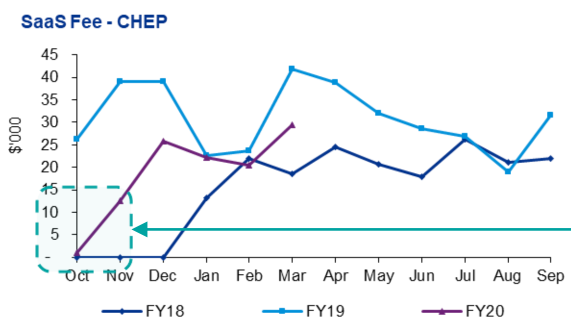
Revenue (10) - *top ten (6)* - *CHEP - UK*

CHEP represented 3.9% of total revenue (reported) in TTM Mar-20.

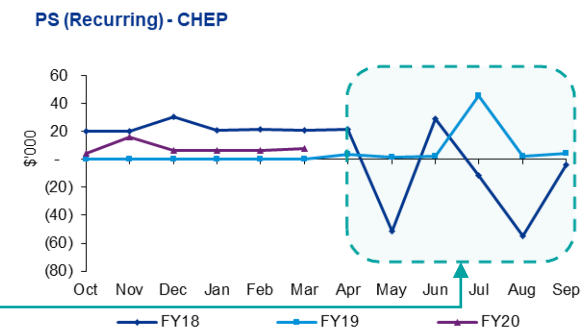
CHEP			
$'000	FY18	FY19	TTM Mar-20
SaaS Fee	186	370	288
PS (recurring)	62	59	105
Hosting	114	89	142
Maintenance	-	-	-
Other	-	-	-
Recurring	363	517	536
PS (non-recurring)	62	186	41
Other	-	-	-
Non-recurring	62	186	41
Total	**425**	**703**	**576**



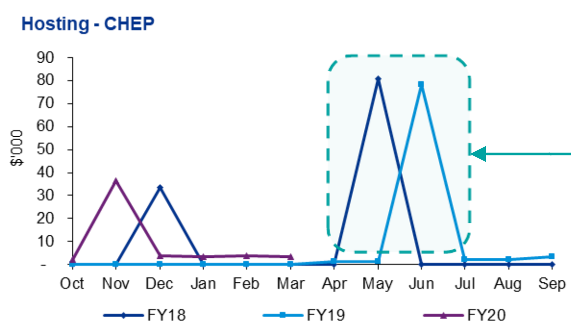
Primarily related to annual hosting fees – see illustration below.



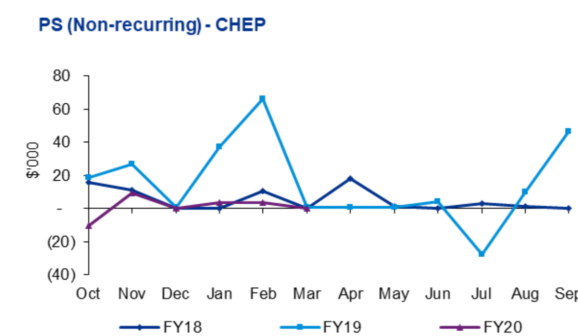
Decrease in Jan-19 related to bringing a new region on board.



Incorrect billing of the credit and the collection of the amount owed.



Related to annual hosting fees.

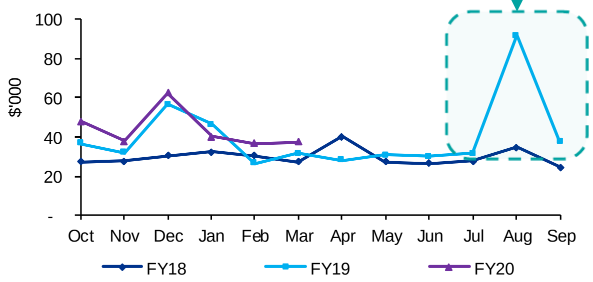


Source: Management provided information; KPMG analysis

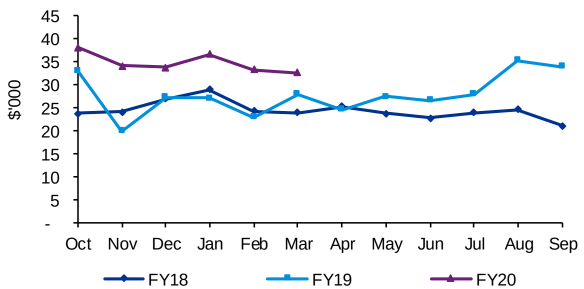
Revenue (11) - top ten (7) - Southern Company Gas - US

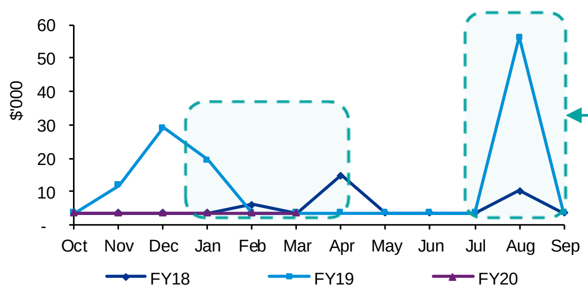
Southern Company Gas represented 3.5% of total revenue (reported) in TTM Mar-20.

Southern Company Gas			
$'000	FY18	FY19	TTM Mar-20
SaaS Fee	294	334	385
PS (recurring)	63	145	95
Hosting	-	-	-
Maintenance	-	-	-
Other	-	-	-
Recurring	356	479	479
PS (non-recurring)	-	-	33
Other	-	-	-
Non-recurring	-	-	33
Total	**356**	**479**	**512**

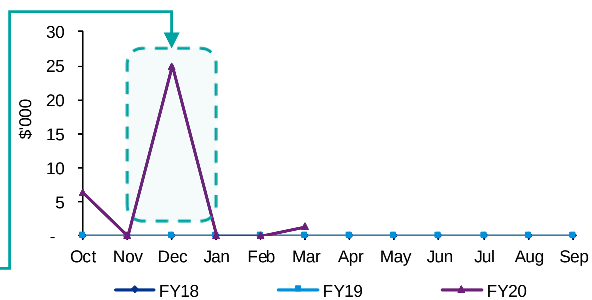


Due professional fees. See the illustrations below.





Due to buying of "Southern gas" by AGL and merging the two systems resulted in high annual professional services.



Source: Management provided information; KPMG analysis

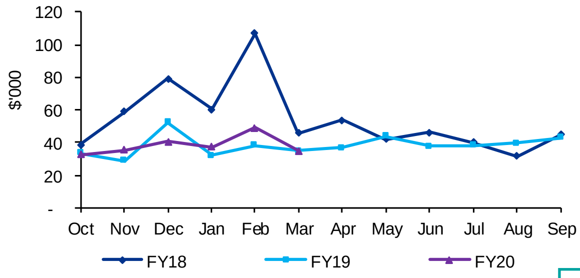
Appendix 10 - Financial performance (including VARs)

Revenue (12) - *top ten (8)* - Nedbank - SA

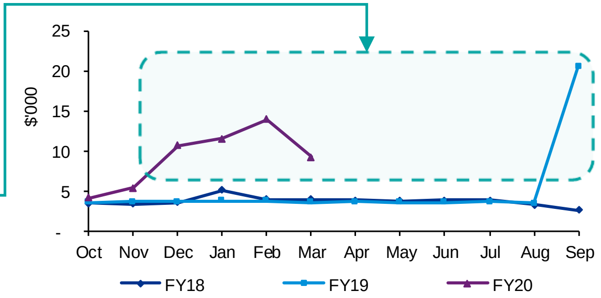
Nedbank represented 3.2% of total revenue (reported) in TTM Mar-20.

Nedbank			
$'000	**FY18**	**FY19**	**TTM Mar-20**
SaaS Fee	388	252	253
PS (recurring)	45	61	94
Hosting	0	2	1
Maintenance	87	70	75
Other	-	-	-
Recurring	521	384	423
PS (non-recurring)	127	73	48
Other	2	4	-
Non-recurring	129	77	48
Total	**649**	**461**	**471**

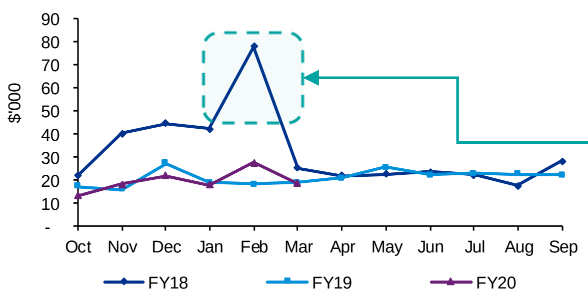
Total Revenue - Nedbank



PS (Recurring) - Nedbank

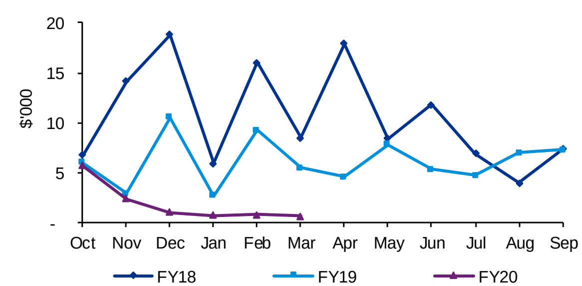


SaaS Fee - Nedbank

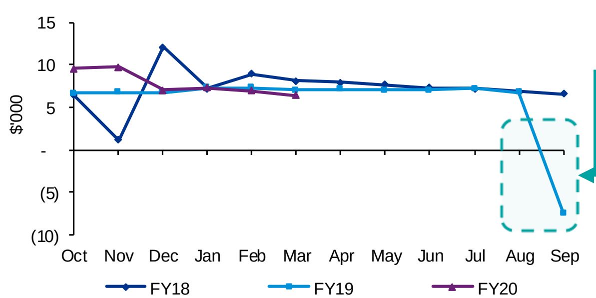


Fluctuations related to e-marketing campaign.

PS (Non-recurring) - Nedbank



Maintenance - Nedbank



Relates to a $8,000 deployed solution and Credit note.

Source: Management provided information; KPMG analysis

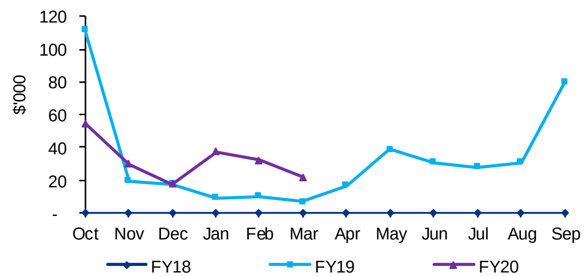
Appendix 10 - Financial performance (including VARs)

Revenue (13) - *top ten (9)* - Communisis - UK

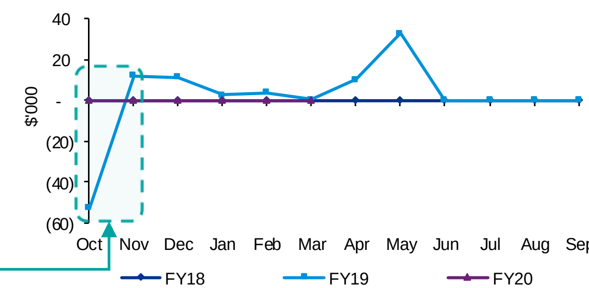
Communisis represented 2.9% of total revenue (reported) in TTM Mar-20.

Communisis			
$'000	FY18	FY19	TTM Mar-20
SaaS Fee	-	281	264
PS (recurring)	-	62	71
Hosting	-	31	30
Maintenance	-	-	-
Other	-	-	6
Recurring	-	374	371
PS (non-recurring)	-	22	43
Other	-	5	5
Non-recurring	-	27	48
Total	**-**	**401**	**419**

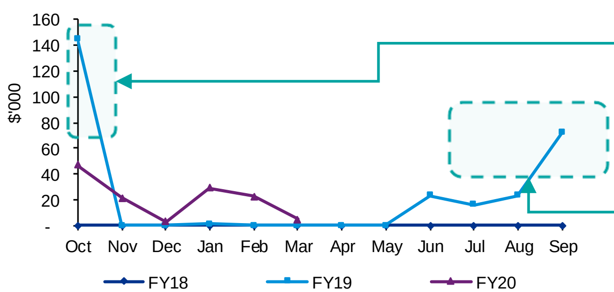
Total Revenue - Communisis



PS (Non-recurring) - Communisis

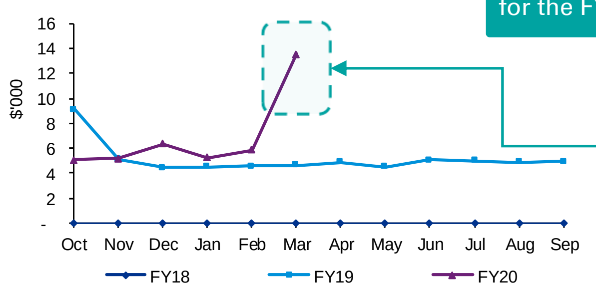


SaaS Fee - Communisis



Oct-18: related to upfront billing related to work performed in FY19. Part of it is offset from the credit in non-recurring professional fees.

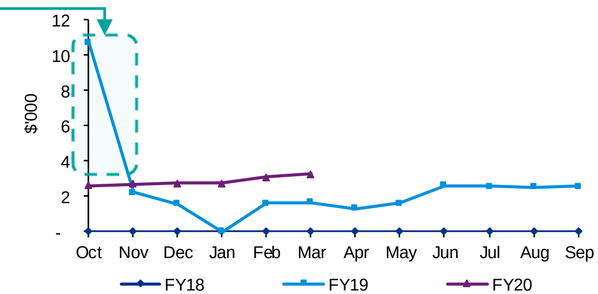
PS (Recurring) - Communisis



Sep-19: related to back billing for the FY19 period.

$14,000 PS fees in Mar-20 related to a change request.

Hosting - Communisis



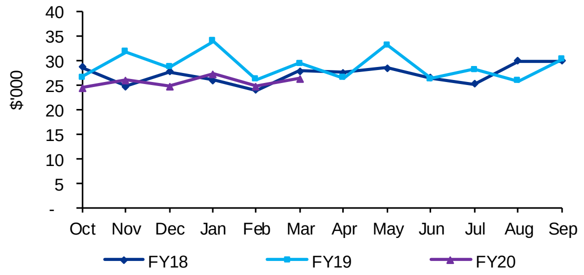
Source: Management provided information; KPMG analysis

Revenue (14) - *top ten (10)* - Suez - US

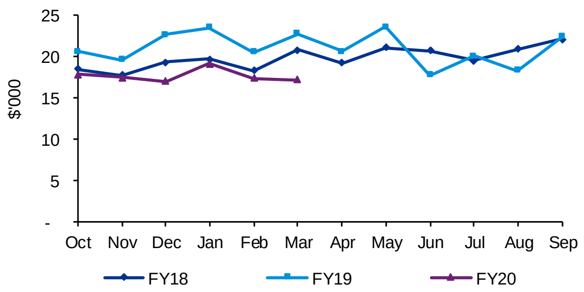
Suez represented 2.2% of total revenue (reported) in TTM Mar-20.

Suez			
			TTM
$'000	FY18	FY19	Mar-20
SaaS Fee	238	253	229
PS (recurring)	-	-	-
Hosting	-	-	-
Maintenance	-	-	-
Other	-	-	-
Recurring	238	253	229
PS (non-recurring)	90	95	96
Other	-	-	-
Non-recurring	90	95	96
Total	**328**	**348**	**325**

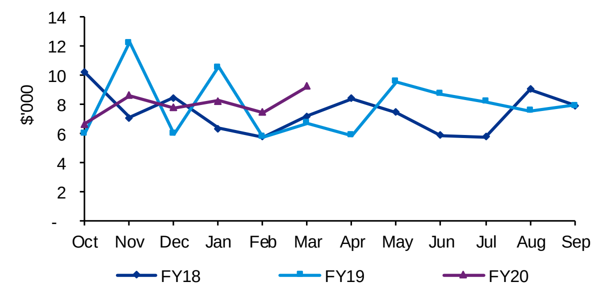
Total Revenue - Suez



SaaS Fee - Suez



PS (Non-recurring) - Suez



Source: Management provided information; KPMG analysis

Revenue (15) - *Retention, upsell and downsell analysis*

The illustration below represents retention analysis, highlighting the key retention metrics and number of customers (e.g. new/lost customers).

Retention Rates	[A]+[B]+[C]+[D]+[E]+[F]			[A]			[B]			[C]			[D]			[E]			[F]		
	Total revenue			SaaS Fee			Professional Services			Hosting			Maintenance			3rd Party			Other		
$'000	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20	FY18	FY19	TTM Mar-20
Opening Revenue	14,910	13,568	14,998	8,623	7,885	8,635	4,479	4,051	4,413	593	764	910	296	377	339	750	494	671	169	(2)	31
Downsell	(1,050)	(1,887)	(1,357)	(492)	(1,086)	(780)	(998)	(924)	(740)	(57)	(151)	(56)	(9)	(38)	(56)	(10)	(41)	(65)	(5)	-	-
Cancellation	(2,307)	(98)	(86)	(1,601)	(42)	(118)	(479)	(113)	(6)	(2)	-	(2)	(1)	-	-	(352)	(0)	(4)	(166)	(0)	-
Upsell	1,981	2,500	1,109	1,078	1,455	783	1,016	1,005	349	173	228	255	91	-	5	105	171	18	-	2	15
New Customers	34	915	2	277	423	0	32	394	18	58	68	0	-	-	-	1	46	-	0	31	52
Closing Revenue	13,568	14,998	14,666	7,885	8,635	8,519	4,051	4,413	4,033	764	910	1,107	377	339	289	494	671	620	(2)	31	98
Key Metrics																					
Downsell %	*(7.0%)*	*(13.9%)*	*(9.0%)*	*(5.7%)*	*(13.8%)*	*(9.0%)*	*(22.3%)*	*(22.8%)*	*(16.8%)*	*(9.7%)*	*(19.7%)*	*(6.1%)*	*(3.1%)*	*(10.1%)*	*(16.4%)*	*(1.3%)*	*(8.2%)*	*(9.7%)*	*n.a.*	*n.a.*	*n.a.*
Cancellation %	*(15.5%)*	*(0.7%)*	*(0.6%)*	*(18.6%)*	*(0.5%)*	*(1.4%)*	*(10.7%)*	*(2.8%)*	*(0.1%)*	*(0.4%)*	-	*(0.2%)*	*(0.3%)*	-	-	*(46.9%)*	*(0.1%)*	*(0.6%)*	*n.a.*	*n.a.*	*n.a.*
Upsell %	*13.3%*	*18.4%*	*7.4%*	*12.5%*	*18.5%*	*9.1%*	*22.7%*	*24.8%*	*7.9%*	*29.2%*	*29.9%*	*28.0%*	*30.8%*	-	*1.4%*	*14.0%*	*34.6%*	*2.7%*	*n.a.*	*n.a.*	*n.a.*
New customers %	*0.2%*	*6.7%*	*0.0%*	*3.2%*	*5.4%*	*0.0%*	*0.7%*	*9.7%*	*0.4%*	*9.8%*	*8.9%*	*0.0%*	-	-	-	*0.1%*	*9.4%*	-	*n.a.*	*n.a.*	*n.a.*
Gross retention	*91.0%*	*110.5%*	*97.8%*	*91.4%*	*109.5%*	*98.7%*	*90.4%*	*108.9%*	*91.4%*	*128.9%*	*119.1%*	*121.7%*	*127.5%*	*89.9%*	*85.1%*	*65.9%*	*135.7%*	*92.4%*	*n.a.*	*n.a.*	*n.a.*
Net retention	*104.3%*	*129.0%*	*105.2%*	*103.9%*	*128.0%*	*107.7%*	*113.1%*	*133.8%*	*99.3%*	*158.2%*	*149.0%*	*149.7%*	*158.3%*	*89.9%*	*86.5%*	*80.0%*	*170.3%*	*95.1%*	*n.a.*	*n.a.*	*n.a.*
# of Customers																					
Total # of active clients	88	93	90	65	75	69	82	82	85	14	26	24	3	3	3	22	27	25	2	2	3
# New Clients	4	18	3	4	15	2	7	17	7	2	12	1	-	-	-	5	8	-	1	2	1
# Lost Clients	29	13	6	29	5	8	27	17	4	4	-	3	2	-	-	5	3	2	5	2	-
Average revenue/client	154	161	163	121	115	123	49	54	47	55	35	46	126	113	96	22	25	25	(1)	15	33

Source: Management provided information; KPMG analysis
Note: Please refer to the revenue reconciliation appendix 6 for the reconciliation to the reported income statement.

Basis of preparation:
Downsells: Relate to lower revenues from existing customers compared to the prior period.
Upsells: Related to increased revenues to existing customers compared to the prior period.
Cancellations: relates to revenue generated from lost clients.
New customers: relate to revenue generated from new accounts.

The total number of active clients has remained relatively stable over the historical period.

The average revenue per client increased from $154,000 per client in FY18 to $163,000 in TTM Mar-20. This was primarily driven by an increase in average revenue per client in SaaS fees.

1 Primarily driven by the loss of the Multichoice account, which generated $1.3 million of SaaS revenue in FY17.

2 Revenue from new accounts in the TTM Mar-20 is $2,000, while in FY19 was $915,000. This indicates that most of the new clients were acquired in the first half of FY19 (e.g. Communisis account won in Oct-18 and it generated a total of $0.4 million in FY19, Amdocs won in May-19 generating $0.2 million in FY19 and SBSA won in Oct-18 generating $0.1 million in FY19).

3 Total upsell and downsell in TTM Mar-20 offset. However, in FY18 and FY19 upsell were higher than downsell (e.g. upsell were $1.5 million while downsell were $1.1 million in FY19). Management represents that these are due to normal business activity.

Glossary

$'000	Thousands of United States dollars
Adj.	Adjusted
AP	Accounts payable
AR	Accounts receivable
AUD	Australian dollar
Avg.	Average
BS	Balance sheet
CCM	Customer Communication Management
CEO	Chief Executive Officer
CFO	Chief Financial Officer
Client	Doxim Inc.
COO	Chief Operating Officer
COVID-19	2019 Novel Coronavirus
CS	Striata Communication Solutions Ltd
DSO	Days sales outstanding
EBITDA	Earnings before interest, taxes, depreciation and amortization
EVP	Executive Vice President
excl.	Excluding
FTE	Full-time equivalent
FX	Foreign exchange
FYXX	Fiscal year ended September 30, 20XX
GAAP	Generally accepted accounting principles
GBP	Great Britain Pound
GL	General Ledger
GM	Gross margin
HKD	Hong Kong dollar
IBAN	International Bank Account Number
IP	Intellectual Property
IS	Income statement
IT	Information technology
LLP	Limited Liability Partnership
Mgmt	Management of the Company
NWC	Net working capital
PS	Professional Services
QofE	Quality of Earnings
QX-XX	Quarter X of 20XX
R&D	Research and Development
SA	South Africa
SaaS	Software as a service
SDR	Secure Document Repository
SG&A	Selling, general and administrative
Target/Company	Striata group of companies
TTM	Trailing twelve months
UK	United Kingdom
US	United States
VAR	Value Added Reseller
VAT	Value added tax
YoY	Year on year
YTD	Year to date
ZAR	South African Rand

Contacts

The contacts at KPMG in connection with this report are:

Miguel Amaral
Partner, Transaction Services
416-777-3433
mamaral@kpmg.ca

Juliana Lnu
Senior Manager, Transaction Services
416-218-7979
jlnu@kpmg.ca

George Xhabija
Senior Associate, Transaction Services
416-791-2169
gxhabija@kpmg.ca

kpmg.ca